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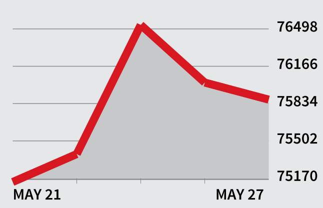
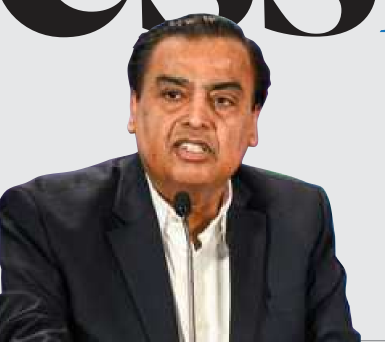


IN FOCUS

	Week's close	Week's change
Nifty 50	23907.15	+248.15
P/E Ratio (Sensex)	20.39	+0.06
US Dollar (in ₹)	95.69	-1.13
Gold Std 10 gm (in ₹)	155447.00	-2473
Silver 1 kg (in ₹)	260917.00	-6385

LEADING THE CHARGE. **Reliance Industries is well poised** to benefit from a major global economic transformation, says Mukesh Ambani **p2**



RECOVERY STRESS. **Halving of** recoveries against admitted claims under the IBC is a cause for concern, says ICRA **p6**

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QUICKLY.

IMPACT OF WAR

Big fall in engineering exports to W. Asia in April

New Delhi: The country's export of engineering goods to West Asia in April, particularly to the United Arab Emirates and Saudi Arabia, declined significantly as the US-Israel war with Iran disrupted shipping. But overall exports by the sector posted 8.78 per cent growth (year-on-year) at $10.35 billion, per data shared by the EEPC. **p3**

FLEX FUEL VEHICLES

Not GST cut, affordable fuel needed, says TaMo

New Delhi: To promote flex fuel vehicles, Tata Motors has said that the government should make the fuel affordable rather than reduce GST on such vehicles because price of the fuel directly impacts customers. Shailesh Chandra, MD and CEO, Tata Motors Passenger Vehicles, said rising fuel prices remain a key concern for the auto industry. **p7**

'All of govt' to ensure a fair NEET re-exam, CBSE Class XII marking

THE ANSWER. Defence Minister-led review meet mulls moving question papers by IAF

Meenakshi Verma Ambwani
S Ronendra Singh
New Delhi

Facing mounting criticism over the NEET paper leak and anomalies in CBSE Class XII answer-sheet evaluation, the government on Thursday sought to signal a more serious and coordinated response, with Education Minister Dharmendra Pradhan publicly owning responsibility for the controversies.

Defence Minister Rajnath Singh chaired a high-level meeting attended by the Education Minister, Communication Minister Jyotiraditya Scindia and top officials, where measures were discussed to ensure that paper leaks do not happen in the NEET re-examination on June 21. A proposal to involve the Indian Air Force in transporting question papers for enhanced security was discussed.

"We are taking a 'whole of government' approach to ensure the integrity of the examination process, in which all departments are involved. The examination papers were transported by the Postal Department, and the possibility of the Air Force being used for transporting papers was discussed," Pradhan told a TV channel.

> This is the first time the CBSE has implemented OSM. Certain discrepancies have come to our notice and I take responsibility for them
>
> **DHARMENDRA PRADHAN,** Education Minister

MARKING SYSTEM ISSUE

On the controversy over CBSE's on-screen marking (OSM) system, Pradhan said: "This is the first time the CBSE implemented this system in the country. Certain discrepancies have come to our notice, and I take responsibility for them; I want to give the assurance that these issues will be rectified and appropriate solutions will be worked out. We will not leave a single student's query unanswered or concerns unresolved."

REVIEW MEETING

Pradhan chaired a review meeting at the CBSE headquarters attended by the CBSE Chairperson; the Secretary, Department of School Education and Literacy; and the Directors of IIT-Madras and IIT-Kanpur.

The meeting discussed and reviewed the progress of the CBSE Class XII evaluation and post-result processes. Deliberations focused on providing a student-friendly re-evaluation portal, strengthening the CBSE's digital platforms, enhancing student exam and result facilitation mechanisms, and improving evaluation and monitoring systems.

TECH SOLUTION

"Stakeholders also highlighted measures undertaken for student support and outlined plans for robust, transparent and technology-enabled service delivery aimed at greater student benefit," the CBSE stated in a post on X. The re-evaluation portal is expected to go live on May 29.

Pradhan said 17 lakh students took the exam and there were nearly 98 lakh answer copies, with 40 crore scanned pages in total. "So far, about 4 lakh students have retrieved their answer-sheets, covering nearly 11 lakh copies," he said.

However, students and parents have continued to flag concerns regarding mix-ups in answer-sheets, discrepancies in scoring and missing pages in their scanned answer-sheets.

Priority service 'slices' telecom sector on 5G monetisation

Shishir Sinha
Vallari Sanzgiri
New Delhi/Mumbai

Top telecom operators are sharply divided over the future of 5G monetisation, with Bharti Airtel and Reliance Jio backing premium priority services for high-paying subscribers, while Vodafone Idea (Vi) opposed the move, warning against the creation of a two-tier internet ecosystem.

The emerging battlelines are unusual for the sector because Vi has traditionally aligned with Airtel on regulatory matters, especially against Jio on issues ranging from spectrum pricing to floor tariffs.

But this time, Airtel and Jio find themselves on the same side as a Parliament panel examines whether 5G network slicing-based offerings violate net neutrality principles.

According to a person aware of the matter, Jio has submitted a detailed response on 5G slicing and net neutrality to the Parliamentary Standing Committee on Communications and Information Technology, supporting the use of the technology within the existing regulatory framework. "Network slicing-based service deployments are a legitimate exercise of 5G network capabilities, subject to compliance with the applicable provisions of the Unified Licence and TRAI regulations," said Jio in its May 25 submission, reviewed by *businessline*.

The Mukesh Ambani-led telecom operator further argued that different network slices for different customer categories or enterprise verticals are permissible under net neutrality norms, provided traffic management remains "transparent, application-agnostic" and technically justified.

PRIORITY POSTPAID

The issue gained prominence after Airtel launched 'Priority Postpaid' plans on May 19, becoming the first Indian telecom operator to commercially introduce a consumer-facing 5G slicing service.

One of 5G's defining capabilities, network slicing allows telecom operators to create virtual partitions within the same physical network infrastructure. In effect, operators can dedicate specific portions of network capacity to select users or applications without building separate physical networks.

Defending the service before a telecom policy panel this week, Airtel argued that slicing improves overall network efficiency and does not degrade services for prepaid users.

The company said its 5G network currently operates at only 38 per cent capacity, leaving enough headroom for all users.

DIGITAL EQUALITY

Vi, however, has mounted a public campaign centred on "equal network for all", arguing that preferential treatment based on ability to pay raises concerns around digital equity. "Every customer deserves a fair and consistent network experience," said Avneesh Khosla, Chief Marketing Officer at Vi.

Mahesh Uppal, Director at telecom consultancy Com-First India, said the concern is not theoretical. "Spectrum availability in India is significantly lower than in mature markets. If premium slices are prioritised, lower-paying users could face deterioration in service quality," he said.

Siddaramaiah resigns as Karnataka CM, ending speculation over leadership change

Our Bureau
Bengaluru

After weeks of speculation over whether Karnataka Chief Minister Siddaramaiah will make way for Deputy Chief Minister DK Shivakumar to take over the State's leadership, the veteran stepped down on Thursday, in line with the Congress High Command's decision, bringing the curtain down on a defining chapter in Karnataka politics.

Following a breakfast meeting with Shivakumar at his Kaveri residence in Bengaluru, Siddaramaiah proceeded to the Lok Bhavan office and submitted his resignation to Prabhushankar, Special Secretary to Governor Thaawarchand Gehlot, who was away on a private visit.

Congress leader Siddaramaiah

Addressing the media, Siddaramaiah said: "I have repeatedly maintained that I would resign whenever the High Command asks me to. They conveyed the decision to me the day before yesterday, and I told them I would step down the next day. I am sure the Governor will accept my resignation once he returns. The people of Karnataka know me well after decades in public life. Coming from a humble farming family in a village, I never even dreamt that I would become an MLA, a minister or the Chief Minister of Karnataka. I thank the people of Karnataka who, through nearly four-and-a-half decades, allowed me to serve them as MLA, minister and twice as Chief Minister," he reflected.

SOCIALIST MOVEMENT

Siddaramaiah was born in 1948 in Siddaramanahundi, near Mysuru, in a poor farming family of the Kuruba community.

The first graduate from his village, he studied law before entering politics through the Socialist-Janata movement.

He first became an MLA in 1983 and rose through the Janata Dal ranks under former Prime Minister HD Deve Gowda.

He emerged as a prominent backward class (OBC) leader by championing the AHINDA social coalition, which became the foundation of his political identity.

"More than being remembered as one of Karnataka's longest-serving Chief Ministers, I want to be remembered as a Chief Minister who delivered meaningful schemes that improved people's lives. I never entered politics for power, wealth or personal gain. I saw it as an opportunity to help the poor, the oppressed and the marginalised," Siddaramaiah said on Thursday after stepping down.

At 64, Shivakumar is the younger of the two leaders. Speculation was rife that the Vokkaliga leader could take over as Chief Minister during the latter half of the government's term, though no official announcement has been made so far.

See also p11

Digi Yatra eyes role as another digital identity layer, says CEO

Rohit Wadi
New Delhi

Decentralised digital identity platform Digi Yatra is eyeing a larger role beyond the aviation space as a reusable identity layer for secure verification and seamless access across multiple sectors over time.

The Digi Yatra Foundation, which operates the platform, is positioning Digi Yatra as part of India's wider digital public infrastructure ecosystem.

Speaking to *businessline*, Suresh Khadakbhavi, Chief Executive Officer, Digi Yatra Foundation, said the platform demonstrates how trusted digital identity can be deployed at national scale in a voluntary, privacy-by-design and consent-based manner.

Report on p12

Ashok Leyland posts record Q4, FY26 profit, revenue

Our Bureau
Chennai

Ashok Leyland Ltd delivered its highest-ever quarterly and annual revenues and net profit. It reported a 11 per cent increase in consolidated net profit for the fourth quarter ended March 31, 2026, at ₹1,381 crore, against ₹1,246 crore in the corresponding previous quarter. Revenue was up 16 per cent to ₹14,980 crore (₹12,868 crore).

For FY26, the company reported an 8 per cent increase in net profit at ₹3,566 crore (₹3,303 crore) on a 14 per cent jump in revenue to ₹44,007 crore (₹38,753 crore). The PAT is after a one-time charge of ₹308 crore owing to the new Labour Codes, said the company.

The board of directors declared a second interim dividend of ₹2.50 per share (face value of ₹1 per share).

See also p2

Offshore betting, realty sector lead ad violations: ASCI

Advertising watchdog says that 98% of ads scrutinised in FY26 needed modification

Meenakshi Verma Ambwani
New Delhi

The speed and reach of digital ecosystems have helped advertising, but they have also amplified harmful advertising, making monitoring a nightmare, says the latest annual complaints report of the Advertising Standards Council of India (ASCI).

It notes that advertisements, especially in the offshore betting ecosystem — marked by high-speed content churn, rapid ad creation and cross-platform distribution — are spread widely through influencers, affiliate networks, social media groups and messaging platforms, complicating identification.

MISINFORMATION

Significantly, the report says that consumer safety risk in advertising is now growing beyond misinformation to categories that are restricted by law are promoted. Despite regulatory intervention, offshore betting emerged as the most violative sector, accounting for 6,933 cases.

COMPLIANCE CRISIS. Meta platforms accounted for 79.84 per cent of the digital violations, according to ASCI

It was followed by realty (643 cases), personal care (576 cases), food and beverages (331 cases) and products violating the Drugs and Magic Remedies Act (274 cases). According to the FY26 report, ads promoting harmful products or situations accounted for 75.4 per cent of the overall cases, followed by misleading claims at 27.5 per cent.

The self-regulatory body reviewed 11,581 cases, which represented a 21 per cent increase year-on-year in FY26. These cases pertained to 9,841 ads, a 37 per cent year-on-year increase over the previous fiscal.

"Ninety eight per cent of the ads scrutinised required some modification. Notably, 93 per cent of these cases came from ASCI's proactive monitoring," said ASCI.

BAD INFLUENCE

Digital platforms accounted for 97.3 per cent of all ads scrutinised, with 82 per cent of these being sponsored content on social media platforms. Meta platforms accounted for 79.84 per cent of digital violations. Between April and December 2025, 854 influencer violations were identified, including accounts entirely dedicated to offshore betting content, it added.

Sudhanshu Vats, Chairman, ASCI, said, "Across categories, we are seeing a growing tendency towards exaggerated claims, manufactured scientific credibility, influencer-led amplification and the normalisation of non-compliance as a post-publication correction exercise."

In terms of influencer marketing, out of the 1,609 influencer ads processed last financial year, 97 per cent required modification, with over 54 per cent promoting categories prohibited by law. In food and beverages, the violations centred around misleading or unsubstantiated claims around metabolic health, chronic disease, child development, fertility and organ function for products, such as weight-loss supplements and growth formulas.

‘India is at forefront of global change and Reliance is ready’

ALL SET. RIL’s future growth to be supported by ‘robust balance sheet’: Mukesh Ambani

Our Bureau
Mumbai

Reliance Industries Chairman and Managing Director Mukesh Ambani pitched the conglomerate as being uniquely positioned to capitalise on a “once-in-a-generation transformation” reshaping the global economy, with India emerging at the forefront of shifts driven by artificial intelligence (AI), clean energy and digital infrastructure.

Addressing shareholders in the company’s FY26 annual report, Ambani said, “We are living through a once-in-a-generation transformation — where boundaries between industries, technologies and nations are being fundamentally redrawn. Global supply chains are being reconfigured. The energy transition is accelerating. The exponential rise of data and AI is reshaping the architecture of the modern world.”

He added that India stood at the forefront of this transformation and that “Reliance was built for moments like these. We do not follow change — we build for it, ahead of it.”

> Reliance was built for moments like these. We do not follow change — we build for it, ahead of it
>
> MUKESH AMBANI
> Chairman and MD, Reliance Industries

FOCUS AREAS

A major focus of the outlook articulated by Ambani was AI, and he spoke of “Reliance Intelligence,” aimed at building sovereign AI capabilities in India. He said the group’s objective was to ensure AI is “democratised” rather than concentrated in the hands of a few players. The company plans to build AI infrastructure and platforms designed and scaled in India for consumers, enterprises and institutions.

The oil-to-telecom conglomerate is also doubling down on its green energy ambitions. Ambani described the Dhirubhai Ambani Green Energy Giga Complex as “a statement of intent” that would support India’s transition to clean and affordable energy.

Reliance said it was building integrated capabilities in solar photovoltaic manufacturing, energy storage and green energy infrastructure as part of its push towards energy independence.

In digital services, Ambani said Jio Platforms would continue to evaluate “strategic pathways” to broaden stakeholder participation and support long-term growth, a remark likely to fuel speculation over potential listing plans or stake sales in the telecom and technology arm. He said Jio was being positioned at the forefront of the global digital revolution across connectivity, AI, cloud and digital services.

Reliance’s consumer businesses were also central to its future plans. Ambani said Reliance Retail Ventures and Reliance Consumer Products were helping strengthen domestic manufacturing and Indian brands, while reshaping consumption patterns through hyper-local commerce and omni-channel retail.

OIL-TO-CHEMICALS BIZ

Ambani said Reliance’s traditional oil-to-chemicals business would continue transitioning towards “higher-value materials and future-ready applications” to remain competitive amid the global energy transition. Meanwhile, the exploration and production business would focus on maximising recovery and disciplined capital allocation.

Ambani underscored Reliance’s financial strength, noting that it had become the first Indian firm to cross $10 billion in annual net profit during FY26. He said future growth would continue to be funded through strong internal accruals and supported by a “robust balance sheet.” He added that Reliance’s purpose was to contribute to India’s emergence as a developed nation through inclusive and sustainable growth.

Ashok Leyland Q4 profit rises 11% as CV, export volumes hit a record high

Our Bureau
Chennai

Ashok Leyland has delivered its highest-ever quarterly and annual revenues and net profit. It reported a 11 per cent increase in consolidated net profit for Q4 FY26 to ₹1,381 crore, as against ₹1,246 crore in the year-ago quarter. Revenue was up 16 per cent to ₹14,980 crore (₹12,868 crore).

For FY26, the company reported an 8 per cent increase in net profit to ₹3,566 crore (₹3,303 crore) on a 14 per cent increase in revenue to ₹44,007 crore (₹38,753 crore).

The PAT is after a one-time charge of ₹308 crore owing to the new Labour Codes, the company said. The board of directors declared a second interim dividend of ₹2.50 per share (face value of ₹1 per share). The overall dividend for the year works out to ₹3.50 per share (350 per cent).

Scorecard (in ₹ cr)

	Q4 FY26	Q4 FY25	Growth (%)
Net profit	1,381	1,246	11
Revenue	14,980	12,868	16

The company appointed KM Balaji as Whole-Time Director and CFO.

CV, EXPORT VOLUMES

Overall commercial vehicle (CV) volumes scaled a new all-time high of 220,437 units, surpassing the previous peak of 197,366 units achieved in FY19.

The CV volumes in FY26 were up 13 per cent from last year. Light commercial vehicle (LCV) volumes set a new benchmark, reaching 74,322 units, well above the earlier high of 66,633 units in FY24, said a release.

Export volumes also reached a historic high of 18,082 units, delivering a robust growth of 18.5 per cent over the previous year’s 15,255 units. The Power Solutions and Aftermarket businesses continued their strong momentum, posting impressive growth during the year, the release said.

OTHER BUSINESSES

The company’s major subsidiaries accelerated their growth journeys during FY26. Switch Mobility delivered a standout performance, with e-bus volumes surging to 1,530 units, up 238 per cent year on year.

The e-LCV volumes rose to 1,606 units, up 56 per cent. The revenue more than doubled to ₹1,807 crore, with PAT of ₹104 crore in FY26, against a loss of ₹62 crore in the previous year, the release said. Hinduja Leyland Finance (HLF - standalone) posted a 24 per cent growth in FY26 to achieve an AUM of ₹59,531 crore. HLF PAT is up 20 per cent to ₹491 crore. Hinduja Housing Finance (HHF - standalone) has grown its AUM by 15 per cent to ₹15,937 crore, with PAT growing 4 per cent to ₹387 crore, the company said.

Ras Al Khaimah operations stabilising, Saudi plant on track: Ashok Leyland

TE Raja Simhan
Chennai

Commercial vehicle major Ashok Leyland said operations at its Ras Al Khaimah (RAK) facility in the UAE are gradually returning to normalcy after disruptions caused by the West Asia crisis, while the company advances plans to establish a manufacturing facility in Saudi Arabia as part of its GCC expansion strategy.

Chairman Dheeraj Hinduja said the company experienced disruptions for nearly three-four weeks from late March to early April, impacting production and sales. “But now the market has started to come back, and our production has started once again,” he told *businessline*, adding that full production capacity should return from June.

The RAK facility, which caters to GCC and African markets, produced more than 9,000 vehicles last year despite an installed capacity of around 6,000 units, thanks to additional production shifts, he added. Hinduja said the company may not achieve similar production levels this year because of the temporary disruption, though demand across the region remains strong.

Ashok Leyland said retail demand in the GCC region continues to be supported through local inventory despite logistics disruptions affecting shipments from India.

SAUDI PLANT

Ashok Leyland is also moving ahead with plans to establish a manufacturing facility in Saudi Arabia, one of the largest commercial vehicle markets in the GCC.

Dheeraj Hinduja, Chairman, Ashok Leyland

“We have received the approvals from the government in Saudi and are now looking for appropriate land to set up the facilities,” Hinduja said. “It could be anywhere in the next 18-24 months that we are able to set something up.”

The proposed Saudi facility is expected to begin with a production capacity of at least 5,000 units annually. The company said local manufacturing in Saudi Arabia would strengthen its positioning in the kingdom, while the RAK facility would continue serving other West Asian and African markets.

Ashok Leyland also said its overseas business continued to register strong growth, with export volumes increasing from around 8,000 units three years ago to over 18,000 units in FY26. “Our medium-term target is 25,000 units in exports, which we hope to reach in a couple of years from now,” Hinduja said.

He indicated that commodity inflation and elevated fuel prices may eventually require price hikes across the commercial vehicle industry if the cost pressures persist over a longer period.

“Commodity prices have increased substantially. In the longer run, this will have to be passed on,” Hinduja said.

Reliance targets multi-fold FMCG growth by 2030

Our Bureau
Mumbai

Reliance Consumer Products (RCPL), the FMCG arm of Reliance Industries, expects revenues to grow “multifold” by 2030 as it seeks to emerge as one of the world’s leading branded consumer products companies, according to RIL’s FY26 annual report. Outlining an aggressive roadmap, Reliance said RCPL would continue its accelerated growth trajectory by expanding organically while pursuing strategic acquisitions and partnerships to outpace industry growth.

The company said global expansion remained a strategic priority, with RCPL already present in markets across West Asia, Africa and South Asia. Recent international acquisitions have also given the business entry into Australia, the UK and Europe.

MAJORITY STAKE

Last fiscal year, RCPL acquired a majority stake in staples and millet businesses Udhaiyam and Manna to deepen its food portfolio. It also acquired international consumer brands such as Brylcreem, Toni & Guy, Matey and Badedas through the acquisition of Goodness Group. It is also reviving heritage processed foods brand SIL, as part of its broader play in packaged foods.

The company is building leadership across priority consumption categories with an ambition to become one of India’s leading diversified FMCG companies.

While staples and beverages currently account for the bulk of revenues, the company said food as well as home and personal care businesses were now moving from pilot stages to scalable growth platforms.

RCPL’s gross revenue doubled during FY26 to ₹22,000 crore, led by strong growth in staples and beverages. Reliance said its soft drinks brand Campa crossed ₹4,700 crore in gross sales during the year and became India’s fourth-largest carbonated beverage brand by March 2026, gaining double-digit market share in key markets.

MOST TRUSTED BRAND

The company also said its Independence brand recorded around ₹2,600 crore in sales and had emerged as one of India’s most trusted brands in 2026. RCPL further became India’s third-largest branded water player through Campa Sure and Independence water.

RCPL is scaling rapidly through a combination of distribution expansion, backward integration and investments in food parks. It now reaches over three million outlets through over 5,000 distributors and operates across 60-plus sub-categories in more than 40 countries.

The company said vertically-integrated food parks being developed across India would provide cost advantages through scale, backward integration and cross-category efficiencies, helping strengthen its value proposition of offering “global quality at affordable prices”.

Green energy giga complex goes live in FY26; battery plant commissioning begins

GREEN PUSH. In its FY26 annual report, Reliance said it has delivered the first 200 MWp of Heterojunction Technology solar modules from the facility

Our Bureau
Mumbai

Reliance Industries’ green energy ambitions gathered pace in FY26, as the company operationalised the first phase of its sprawling Dhirubhai Ambani Green Energy Giga Complex in Jamnagar and delivered the first batch of high-efficiency solar modules from the facility.

In its FY26 annual report, Reliance said it had delivered the first 200 MWp of HJT (Heterojunction Technology) solar modules from the facility.

It claimed the modules offer 10 per cent higher energy yield and 25 per cent lower degradation compared with prevailing industry standards, with 720 Wp BIS-certified panels. The company is targeting 10 GWp annual manufacturing capacity initially, with plans to scale up to 20 GWp.

BESS FACILITY

The company also said its battery energy storage system (BESS) giga-factory is in the advanced stages of commissioning. Reliance plans to operationalise 40 GWh annual capacity initially, with a roadmap to scale up to 100 GWh. Production is expected to ramp up in the second half of calendar year 2026.

In green hydrogen, Reliance has begun work on its electrolyser giga-factory after securing exclusive alkaline electrolyser technology licencing rights from Norway-based Nel ASA for India.

The company aims to build 3 million metric tonnes per annum of green hydrogen equivalent capacity by 2032.

Separately, Reliance is developing a massive renewable energy hub in Kutch across 5.5 lakh acres, which it said could eventually meet nearly one-tenth of India’s electricity demand within a decade.

The company reiterated its ₹75,000 crore commitment toward clean energy investments.

The Jamnagar complex, spread across 5,000 acres with 44 million sq ft of manufacturing and operational space, is being positioned as one of the world’s largest integrated clean energy ecosystems outside China.

₹41,000 cr pumped into new energy, FMCG and digital businesses in FY26

Our Bureau
Mumbai

Reliance Industries (RIL) extended loans and provided capital support worth well over ₹41,000 crore in FY26 towards its emerging businesses spanning clean energy, FMCG, retail and digital infrastructure.

The company’s FY26 annual report shows that Reliance extended substantial loans, advances and equity support to subsidiaries and strategic investment arms, as it scaled up businesses in renewable energy, consumer products and next-generation technology platforms.

Among the largest funding recipients was Reliance Strategic Business Ventures (RSBVL), the group’s investment and incubation vehicle, which received capital support of around ₹9,000 crore during the year.

The company also extended loans and advances of ₹3,471 crore to RSBVL. Reliance’s new energy push accounted for a major share of the investments. The company infused nearly ₹5,000 crore into clean energy ventures, including Reliance New Energy, while extending ₹2,000 crore to Reliance New Energy Battery and ₹1,500 crore to Reliance New Solar Energy.

> **Reliance Strategic Business Ventures, the group’s investment** and incubation vehicle, received capital support of around ₹9,000 crore

GREEN EXPANSION

RIL said the investments were aimed at accelerating the development of the Dhirubhai Ambani Green Energy Giga Complex and building integrated capabilities in solar modules, battery storage and green hydrogen.

Reliance also stepped up investments in consumer-facing businesses. The report disclosed around ₹4,000 crore of funding support to Reliance Consumer Products (RCPL), which houses brands such as Campa and Independence.

RCPL doubled revenues to ₹22,000 crore in FY26, with Campa alone crossing ₹4,700 crore in gross sales during the year, according to the report.

RETAIL EXPANSION

In retail, Reliance Retail Ventures received nearly ₹3,000 crore of additional support for expansion of stores, supply chains and omni-channel operations.

The company also extended ₹18,613 crore to Reliance Corporate IT Park. Reliance said the transactions aligned with its strategy of building future growth engines across energy transition, consumer brands and technology infrastructure.

RIL secures $1.73 billion in global financing

Our Bureau
Mumbai

Reliance Industries secured nearly $1.73 billion in overseas financing during FY26 through a series of marquee transactions, underlining the conglomerate’s strong access to global capital markets despite volatile financial conditions. It tied up the largest Samurai loan ever raised by an Indian corporate, securing ¥91.9 billion, or about $625-million equivalent, from a consortium of 10 Japanese and Taiwanese banks. The loan was used to refinance yen-denominated debt maturing during the year.

UNTIED FACILITY

RIL also arranged around $500 million equivalent in untied financing, backed by Korea’s export credit agency KSURE to fund capital expenditure. The transaction marked KSURE’s first-ever untied facility extended to any corporate globally, making Reliance the inaugural beneficiary of the product.

In another first, the company tied up nearly $600 million equivalent in untied financing, supported by Japan’s export credit agency NEXI for its solar photovoltaic and battery gigafactory projects.

Reliance said the deal carried the longest average tenor for any export credit agency-supported facility globally and highlighted investor confidence in its green energy plans. The fundraising came amid a challenging macroeconomic environment marked by global tariff uncertainties, geopolitical tensions, RBI rate easing and the rupee’s sharpest annual depreciation against the dollar. RIL’s improving financial metrics also supported investor confidence. Its interest coverage ratio rose to 8.83 in FY26 from 5.59 a year earlier, while debt service coverage more than doubled to 4.03. Gross debt stood at ₹3.74 lakh crore as of March 31, 2026, with net debt at ₹1.25 lakh crore.

FY27 ‘extremely vulnerable’ to geopolitical, macroeconomic and policy risks

Our Bureau
Mumbai

Reliance Industries sees its oil-to-chemicals (O2C) and oil & gas businesses navigate a volatile FY27, marked by geopolitical tensions, supply disruptions and pressure on petrochemical margins, even as the company bets on India’s growing energy demand and infrastructure expansion to support long-term growth. In its FY26 annual report, Reliance said the outlook for FY27 remained “extremely vulnerable” to geopolitical, macroeconomic and policy risks amid the continuing West Asia conflict, volatile crude prices and weakening global growth.

For the O2C business, Reliance said global oil demand growth was expected to remain sluggish in FY27 due to elevated oil prices and an economic slowdown.

Damage to refinery and oil infrastructure due to the conflict could prolong supply disruptions and keep markets volatile, it added.

PETROCHEM MARGINS

The company flagged several near-term challenges, including volatile product and feedstock prices, government directives on the special additional excise duty (SAED), petrochemical feedstock regulations and duty exemptions on key petrochemical products, which could weigh on domestic demand and margins.

It also pointed to rising Chinese exports, global overcapacity in downstream chemicals and the long-term impact of electric vehicles (EVs) and carbon regulations on fossil fuel demand.

At the same time, Reliance sees opportunities emerging from India’s infrastructure and industrial growth, rising mobility demand and increasing fuel deficits in non-OECD markets.

The company said domestic demand for fuels and downstream chemicals continued to benefit from highway construction, higher vehicle ownership and expanding freight and passenger movement.

FUELLING GROWTH. For RIL, FY26 was marked by disciplined operations focused on sustaining production and improving recovery from the KG Basin assets

During FY26, Reliance’s O2C business delivered operational gains despite volatile energy markets. The company said profitability was supported by higher operating rates, optimised feedstock sourcing and increased domestic product placements.

It also highlighted the expansion of its multi-energy footprint through EV charging and infrastructure for compressed natural gas and compressed biogas.

KG BASIN OUTPUT

On the oil and gas front, Reliance said FY26 was marked by “disciplined operations” focused on sustaining production and improving recovery from the KG Basin assets. The business contributed nearly 30 per cent of India’s domestic gas production with an average output of 26.7 million standard cubic metres per day.

Reliance plans to intensify activity in FY27 with four infill wells in the KG-D6 block targeting incremental recovery of around 220 billion cubic ft of gas, along with three workover wells aimed at sustaining production.

Exploration surveys are also underway in newly-awarded deepwater blocks under the Open Acreage Licensing Policy.

CBM EXPANSION

The company said there was progress in coal bed methane (CBM), where multi-lateral horizontal wells — claimed to be a first in India — helped reverse field decline and raise output by nearly 10 per cent year on year.

Reliance, however, acknowledged that the oil and gas business continues to face challenges from natural decline in KG-D6 production and softer gas prices, which led to lower revenues and EBITDA during FY26.

QUICKLY.

‘India, Canada talks to avoid sensitive sectors’

New Delhi: India and Canada have decided to focus on low-hanging fruit, work on areas of convergence and avoid seeking concessions in sensitive sectors in the negotiations for the proposed free trade agreement, Commerce and Industry Minister Piyush Goyal said. The countries are negotiating a Comprehensive Economic Partnership Agreement (CEPA). PTI

India’s energy investment to hit $170 b this year: IEA

New Delhi: India’s energy investment is set to reach a record $170 billion in 2026, driven by rapid expansion in solar power and oil refining as the country accelerates efforts to meet rising energy demand and strengthen infrastructure for its clean energy transition. The International Energy Agency (IEA), in its World Energy Investment 2026 report, said energy investment in India has grown at an average annual rate of 11 per cent over the past five years, with solar photovoltaic investment rising 25 per cent annually and oil refining investment growing 23 per cent over the same period. PTI

Govt gathers inputs on non-tariff barriers ahead of US team’s visit

TRADE TALKS. Seeks specifics on nature of barriers, relevant regulatory requirements

Amiti Sen
New Delhi

Ahead of the visit of the US trade negotiating team to India next week, the Commerce Department is compiling afresh details of various non-tariff barriers (NTBs), such as various quality standards, technical regulations and testing requirements, that limit market access in the US despite lower duties, sources said.

The Commerce Department this week sought details from the industry on NTBs affecting trade with the US, as well as other major trade partners, the UK, the EU and New Zealand, with which India is expected to implement/seal free trade agreements (FTAs) soon.

US TEAM COMING

“The US team led by the chief negotiator will be in New Delhi to take forward the talks for the bilateral trade agreement (BTA). It is important for India not to just gain tariff concessions but also get the various NTBs addressed to the best extent possible as they can impede market access even when tariffs are zero. That is why the Commerce Department sought inputs from the industry once again on these measures,” a source tracking the matter told *businessline*.

BEING CAUTIOUS. India is unlikely to take on commitments till the tariff scenario in the US unfolds

The industry was specifically asked to explain the nature of the barrier or the relevant regulatory or technical requirements and also give instances of how the measures were affecting market access, the source pointed out.

While India has been discussing redressal of NTBs in its negotiations with the US and other countries, the situation is evolving and new measures keep coming up.

Some NTBs that hurt Indian exporters to the US include high approval costs for sectors such as pharmaceuticals, complex certification requirements, regulatory delays, stringent sanitary and phytosanitary measures for agricultural products, various technical barriers and ‘buy American’ procurement policy that limits access to government contracts. “The more specific is the identification of the NTB and the way it is impeding market access, the better can negotiators take up the problems with the other team,” the source explained.

The US, too, identified several NTBs faced in India in the US Trade Representative’s latest 2026 National Trade Estimate report on foreign trade barriers.

The report criticised various NTBs in India including import bans, restrictions, licensing requirements on certain goods, mandatory Quality Control Orders, customs barriers, price control on medical devices, and mandatory domestic testing and certification requirements for equipment.

The US has indicated that it wants an early interim trade deal with India and it may make efforts to push negotiations towards a final conclusion during next week’s negotiations.

India, however, is more cautious and is unlikely to take on commitments till the tariff scenario in the US unfolds and it is sure of the advantages it gains over its competitors.

After the US Supreme Court gave its verdict on February 20 invalidating the reciprocal tariffs imposed by the Trump regime on its trade partners including India, most countries are facing similar tariffs.

Diversification drive: CIL has 524 MW of solar projects under execution

Mithun Dasgupta
Kolkata

State-run coal major Coal India, which aims to become a 5 GW solar power company by 2030, currently has around 524 MW of solar projects under execution as part of its diversification drive.

On the solar front, CIL’s installed capacity increased to around 357 MW by FY26-end, which includes a 100 MW solar project in Gujarat’s Patan.

“We aspire to become a 5 GW solar power company by 2030,” Coal India Chairman and Managing Director B Sairam told *businessline*.

B Sairam, CMD, Coal India

CHANGING DYNAMICS

By stepping into non-coal sectors such as solar and critical minerals, the world’s largest coal miner has commenced its future preparedness. The company is gradually adapting to the changing energy dynamics in India.

“Among major solar projects actively under radar are a 300 MW project in Khavda in Gujarat and a JV in Uttar Pradesh for 500 MW. We have also emerged as the successful bidder for a 600 MW solar project in Uttar Pradesh’s Jalaun,” Sairam said.

Coal India is also actively participating on a pan-India basis in renewable energy (RE) tenders under tariff-based competitive bidding routes to secure additional capacities and expand its RE portfolio. The company was awarded a 187.5 MW / 750 MWh Battery Energy Storage System (BESS) project at Choutuppal, Telangana, and 80 MW / 320 MWh BESS project in Odisha.

FOUR BLOCKS

In the critical minerals space, CIL has so far secured four blocks — two critical minerals and two rare earth elements.

“The most advanced project is the Oranga-Revatipur block in Chhattisgarh of graphite and vanadium. Due diligence has already been completed, and the LOA (letter of intent) has been issued. We expect mining activity to start within three to four years,” the Chairman said, adding that it will effectively be Coal India’s first mining activity outside coal and that too in critical minerals. The coal miner is setting up a subsidiary in Singapore, which is expected to come up by this fiscal-end. “It will focus mainly on collaborations in Australia, including coking coal, copper, critical minerals and rare earth opportunities. It will handle the full value chain including mining, processing, beneficiation, logistics, market identification, partnerships, licensing and regulatory aspects,” Sairam added.

With power utility Damodar Valley Corporation, CIL is developing a 1,600 MW ultra-supercritical brownfield thermal power project at Jharkhand’s Chandrapura at an estimated investment of around ₹20,000 crore, in a 50:50 joint-venture mode. The expected post-equity IRR (internal rate of return) is around 15.5 per cent, and commissioning is presently targeted around FY31.

Power sector may consume 835 mt coal in FY27

Our Bureau
New Delhi

The power sector is expected to consume around 830-835 million tonnes (mt) of domestic coal in the current financial year compared to around 808 mt in FY26.

Asked whether the sector will consume around 830-835 mt of coal in FY27, Coal India Chairman and Managing Director B Sairam said: “Yes, it is expected. However, this is pan-India.”

On the lower target of 810 mt in FY27, he said this is to even out the stocks at pit head as at the beginning of FY27, India had stocks of 130 mt.

“So, deliberately we took a considered decision in talks with all stakeholders including the Coal Ministry to let production level be a bit smaller (than last year), but we are ready to supply for any demand because we are sitting at a comfortable stock of 113 mt,” he noted.

The mining behemoth has set a target of 810 mt in FY27, against 875 mt in FY26. Sairam was speaking on the sidelines of the roadshow on the scheme for promotion of surface coal/lignite gasification projects.

The government has launched an ₹8,500 crore incentive scheme and recently approved an additional ₹37,500 crore financial support package to accelerate coal gasification

across the country.

During his address at the roadshow, Coal and Mines G Kishan Reddy emphasised that amid evolving global economic trends, geopolitical developments, instability in West Asia and changing global supply chain dynamics, strengthening resilient domestic industrial capacities has become increasingly important for India’s long-term economic growth and strategic industrial security.

Coal Secretary Vikram Dev Dutt underlined that the initiative is not merely about energy security, but about reducing strategic import dependence, strengthening critical industrial supply chains, creating domestic manufacturing capability and unlocking greater value from India’s abundant natural resources. Inviting industry to become equal partners in this national endeavour, he thanked all stakeholders for their enthusiastic participation in the roadshow.

Engineering goods exports rise 8.8% in April despite fall in shipments to UAE, Saudi Arabia

Our Bureau
New Delhi

The country’s exports of engineering goods to West Asia in April, particularly to the UAE and Saudi Arabia, declined significantly as the US and Israel’s war with Iran disrupted shipping, but overall exports from the sector posted an 8.78 per cent growth (year-on-year) to $10.35 billion, per data shared by the Engineering Export Promotion Council (EEPC).

“Among the top exporting countries, exports to the US, the UK and Germany increased in April 2026 but shipments to the UAE, Singapore and Saudi Arabia continued to drop,” according to an EEPC India analysis shared on Thursday. During the month, exports to North America increased 7.1 per cent to $2.14 billion, while exports to the EU rose 13 per cent to $1.87 billion.

MIXED BAG

- Exports to North America increased 7.1% to $2.14 billion and EU rose 13% to $1.87 billion
- Exports to West Asia and North Africa fell 18.1% to $1.10 billion
- Shipments to Asean were down 7% to $1.07 billion

Exports to WANA (West Asia & North Africa) in April 2026, however, declined 18.1 per cent to $1.10 billion, while shipments to Asean, too, fell 7 per cent to $1.07 billion.

“The demand in the WANA region has declined mainly due to drop in exports to the UAE (37.1 per cent dip in April 2026 to $339.23 million) and Saudi Arabia (9.7 per cent fall to $356.17 million)...as both the countries faced significant challenges due to regional conflicts,” the report noted. Saudi Arabia’s Purchasing Managers’ Index contracted for the first time since 2020 in March 2026, while the UAE faced challenges as a transshipment hub that relies heavily on key shipping routes, which have been affected by conflicts.

However, within the region, exports to Oman increased, which is a positive indicator, especially due to the recently signed India-Oman CEPA, the report highlighted.

POSITIVE INDICATOR

Within the region, exports to Oman increased, which is a positive indicator, especially given the recently signed India-Oman CEPA, the report noted.

“Indian exporters are also facing stiff competition from Chinese suppliers and even Russian suppliers at some instance,” it added.

On the brighter side, engineering goods exports to the US, India’s top market, rose 4.9 per cent in April 2026 to $1.74 billion.

Exports to the UK, too, increased sharply by 40.8 per cent to $471.94 million, while shipments to Germany rose 27.8 per cent to $ 426 million.

FTA PUSH

EEPC India Chairman Pankaj Chadha said that India has signed a slew of FTAs with major partners, but the industry needs to understand the key challenges to market access in these countries to make the most of these deals.

India, Korea agree to address widening trade deficit in CEPA talks

Our Bureau
New Delhi

India and Korea have acknowledged the widening trade deficit between the countries since the bilateral Comprehensive Economic Partnership Agreement (CEPA) came into force in 2010 and have agreed to address New Delhi’s problem within the overall trade pact framework, per the government.

The two countries also decided to constitute subgroups to discuss cooperation in digital trade, supply chain, and strategic industrial sectors as part of the ongoing talks on upgrading the India-Korea CEPA (IK-CEPA).

12TH ROUND MEETING

The discussions took place at the 12th round meeting on the upgradation of the existing IK CEPA in New Delhi from May 25-27.

“Both sides reviewed the progress achieved so far in the IK CEPA upgrade negotiations. The discussions were held in a constructive and cooperative spirit, reflecting the strong bilateral relationship and the ‘futuristic partnership’ envisioned by Prime Ministeri Narendra Modi and Korean President Lee Jae-myung,” a statement issued by the Commerce Department on Thursday noted.

During the current round, discussions were held on trade in goods, trade in services, rules of origin (RoO) and origin procedures (OP), investment, and sanitary and phytosanitary standards.

Grid integration among challenges dragging down investments in RE sector in Q1

Rishi Ranjan Kala
New Delhi

Structural bottlenecks, such as power evacuation issues due to transmission constraints, are among the reasons not only slowing the pace of India’s renewable energy (RE) expansion but also adversely impacting investments.

Institute for Energy Economics and Financial Analysis (IEEFA) data show that investments in India’s RE sector fell by 65.8 per cent Y-o-Y, from about $9.84 billion (around ₹92,889 crore) in Q1 2025 to around $3.37 billion (₹31,812 crore) in January-March 2026.

Sequentially, investments fell 40.5 per cent from $5.66 billion (₹53,461 crore) in October-December 2025, the data showed. India’s RE capacity stood at 275 GW as of March 31, 2026 with its share in total installed capacity at around 51 per cent.

SHARP DECLINE

The sharp decline on an annual basis in Q1 2026 partly reflects exceptionally high investments in January-March 2025 driven by large acquisitions and debt financing, it added.

“This decline is likely a reflection of increasing caution amid grid integration challenges, curtailment risks and transmission constraints. India’s renewable energy expansion is increasingly facing structural bottlenecks, with rapid capacity additions outpacing transmission and grid integration infrastructure,” the think tank said.

At a time when the country is exploring austerity measures, the lost clean electricity may have reduced reliance on costly natural gas imports or freed up domestic gas supplies for higher-priority uses outside the power sector at a time when spot gas prices were nearly twice the levels prevailing before the US-Israel war against Iran in West Asia.

As per IEEFA, India curtailed around 2.3 terawatt hours (TWh) of solar generation in 2025 due to grid security concerns, with curtailment rising as renewable penetration increased.

CAPITAL FALL

Investments in India’s RE sector fell by 65.8% y-o-y from $9.84 billion in Q1 2025 to $3.37 billion in Jan-March 2026

System operators have increasingly had to reduce solar output as other generation sources reached their operational limits, highlighting insufficient grid flexibility and transmission capacity. Ember in a recent analysis said that transmission constraints led to loss of 300 gigawatt-hours (GWh) of clean electricity in India during Q1 2026, particularly across Northern and Western regional grid pooling stations.

For instance, on March 30 alone, India lost 34 GWh of clean generation, equivalent to the daily power use of about 5 million urban middle-class households, it said. The analysis found that the total renewable curtailment in Q1 2026 reached around 470 GWh, of which 300 GWh stemmed directly from transmission constraints. The northern region accounted for 178 GWh and the Western region for 122 GWh. The Southern region recorded none, reflecting better synchronisation between generation and grid build-out. “India’s RE curtailment arising from transmission constraints is beginning to reach materially significant levels. Much of this stems from the growing mismatch between the pace of RE deployment and readiness of transmission infrastructure,” said Duttatreya Das, Energy Analyst for Asia at Ember.

Over time, the system will need to move away from generation-led transmission planning towards a model where generation and transmission are co-optimally planned and executed, he added. The analysis by the energy think tank highlights that the core of the problem is a growing mismatch between the pace of renewable energy development and the readiness of transmission infrastructure.

TRANSMISSION TARGET

It found that India met only about 80 per cent of its annual transmission targets over the past five years, and FY27 ISTS target had now risen to 25,146 circuit kilometres (ckm).

One in four major schemes is already running a year or more behind schedule. As a result, 20 GW of RE capacity are likely to face connectivity delays of more than four months in FY27, Ember said.

CHENNAI
businessline.
FRIDAY - MAY 29 - 2026

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Fund of options

Third-party MF payments fine, not salary deductions

In a bid to widen market participation, the Securities and Exchange Board of India (SEBI) is looking to relax one of its long-standing rules governing mutual funds (MFs) — the mandate that fund houses should not accept third-party payments towards investments in MFs. Currently, MFs are allowed to accept only payments that originate from the verified bank account of the investor in whose name the scheme will be held, with redemption proceeds also credited into the same account.

However, SEBI in a recent consultation paper, has sought feedback on allowing third-party payments for MFs in three special cases. One, allowing listed and EPFO- (employees provident fund) registered firms to auto-deduct MF contributions from employee salaries akin to EPF and NPS (National Pension System) deductions. Two, allowing AMCs (asset management companies) to pay part of their distributor commissions in the form of units. Three, allowing investors to nominate verified organisations for direct donations out of their MF balances. Stringent Know-Your-Customer rules and electronic payment modes have made verification of money trails quite easy. The risk of mutual funds being used for money laundering if third party payments are allowed seems negligible. Competing products such as insurance already allow third-party payments. Therefore, enabling payment of distributor commissions in kind or setting up investor donations to third party beneficiaries is unexceptionable.

However, allowing employers to auto-deduct sums from employee salaries towards SIPs (systematic investment plans), needs more debate. The challenges that can arise from putting mutual fund SIPs on the auto-deduct menu can be fourfold. One, even with EPF deductions, there is a pervasive problem of smaller firms failing to deposit employee contributions with the EPFO. Before allowing employer organisations to auto-deduct MF SIP contributions from employee salaries, safeguards against such defaults need to be spelt out. Two, as investment products, mutual funds are very different from EPF which is a simple fixed income product. Investors need guidance on what products and asset mix they ought to choose. It is unclear how employers will provide the right advice. After the initial choice, MF investments also need periodic course correction in the case of poor performance, which the employer organisation will need to handle.

Three, mutual funds carry market risks. Therefore, it is desirable that individual investors make a conscious decision to sign up, rather than have it embedded automatically into their employment contracts. Finally, with EPF contributions already taking up 10-12 per cent of the employees' salaries and the NPS taking off as a retirement vehicle, it is moot if there is room for workers to add a third automated saving to their salary menu. Given the slow growth in household incomes, too many such vehicles eating into the monthly pay cheque can shrink disposable income and impact consumption.

OTHER VOICES.

The Guardian

Lebanon's suffering: 'ceasefire' didn't stop Israeli attacks

Lebanon was an afterthought when Israel and the US were bombing Iran, and remained one when they stopped. It still appears to be one even as Washington and Tehran speak of peace. The US has suggested that a deal is within reach, and Iran's Revolutionary Guards said on Wednesday that a return to war was unlikely, though profound differences remain evident. Tehran says that Lebanon must be part of any agreement. Yet this week, Lebanon's supposed ceasefire looks more threadbare than ever, with Israel intensifying its offensive as Benjamin Netanyahu vowed to "crush" Hezbollah. Israeli strikes killed 31 people on Tuesday alone, and on Wednesday the military ordered the evacuation of the entire city of Tyre. Its troops have pushed out of the buffer zone that it established in the south. (LONDON, MAY 27)

CHINA DAILY

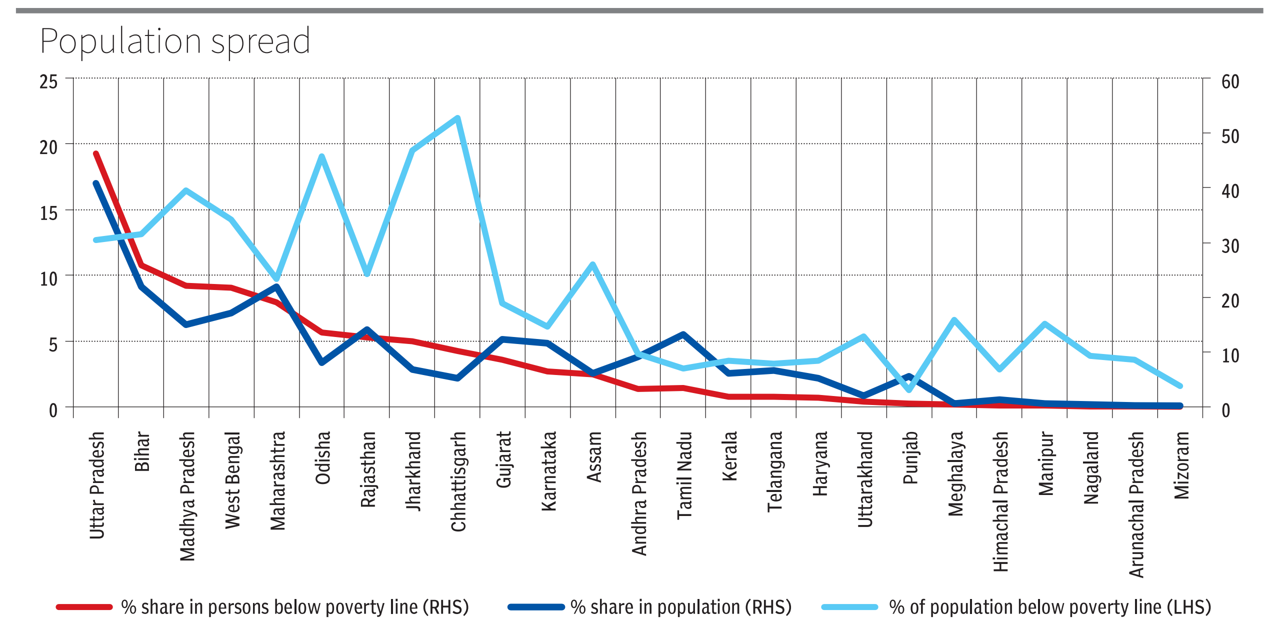
Secessionists' 'word game' belies their anxiety

Recent remarks and actions by the secessionist-minded Democratic Progressive Party authorities of China's Taiwan region once again reveal their persistent attempts to distort history, confuse public understanding and advance their separatist agenda under various guises. From the repeated claim that "Taiwan has never been ruled by the People's Republic of China" to renewed rhetoric advocating "Taiwan independence", the essence of these moves remains unchanged: seeking to undermine the one-China principle and obstruct the historical trend toward China's national reunification. At a recent news conference, Chen Binhua, spokesman for the State Council Taiwan Affairs Office, reiterated the unequivocal truth that Taiwan has been an inseparable part of China since ancient times. (BEIJING, MAY 28)

Poverty, a persistent concern

REALITY CHECK. Poverty is endemic in regions of subsistence agriculture and mineral-rich areas. This should be addressed

R GOPALAN
MC SINGHI



The extent of poverty and its reduction in India remains a subject of considerable debate. After a gap of more than a decade, the MoSPI (Ministry of Statistics and Programme Implementation) conducted two consumer expenditure surveys in 2022-23 and 2023-24. Poverty line has not been defined in these two surveys. Poverty estimates in India post 1973 are made with reference to a basket of goods.

The Rangarajan Expert Group in 2011-12 recommended monthly per capita consumer expenditure (MPCE) of ₹972 in rural areas and ₹1,407 in urban areas to be the new poverty lines at the all-India level.

The MPCE covered primarily food and some essential non-food items. The poverty line so estimated was around 68 per cent and 54 per cent of the respective average MPCE, in rural and urban areas. Poverty should ideally be considered more dynamically and with development.

We assume poverty line at 68 per cent of the average all India consumption expenditure in rural areas and 54 per cent of average per capita consumption expenditure in urban areas as arrived at by Rangarajan Committee.

Using consumer expenditure surveys of 2023-24 and 2024-25, it corresponds to ₹2,802 per capita per month or ₹93.4 per capita per day in rural areas and ₹3,778 per capita per month or ₹126 per capita per day in urban areas.

Using this data, it is observed that 26.8 per cent of total population is under poverty line; 29 per cent of people in rural areas and 22 per cent of people in urban areas.

The number of persons below poverty line, defined as above, works out to 374 million people who need subsistence-based interventions.

STRUCTURAL AND REGIONAL

Poverty in India is structural and regional. As the graph indicates, the four States of Uttar Pradesh, Bihar, Madhya Pradesh and West Bengal have over 48 per cent of persons below the poverty line, as defined above, though their share in population is fewer than 40 per cent. Jharkhand, Chhattisgarh and Odisha have more than 45 per cent of population below poverty line.

Eighty per cent of poor people reside in the10 States of Uttar Pradesh, Bihar, Madhya Pradesh, West Bengal, Jharkhand, Chhattisgarh, Assam, Maharashtra, Rajasthan and Jharkhand and in each of these States poverty exceeds 20 per cent of their population.

Agriculturally better off northern States of Punjab and Haryana and southern States have much lower poverty ratios.

These States, along with Sikkim, having a share in population of over 25 per cent, have a share of just 8 per cent in total BPL persons. Sikkim, Goa and Tripura are among the States that have eliminated poverty.

Poverty is predominant in States of subsistence agriculture (Uttar Pradesh, Bihar and Assam) or mineral rich (Madhya Pradesh, Chhattisgarh, Jharkhand, Odisha, Rajasthan and West Bengal). Even in Maharashtra and Karnataka, poverty concentration is more in areas which are mineral rich or of subsistence agriculture.

Poverty in these areas is structural in nature with decline slower than the overall. Despite migration of labourers to more productive or industrial townships, poverty has continued to be sticky in these pockets.

According to PLFS 2023-24, dependency ratio in poverty-stricken States is higher at 47 per cent as compared to under 42 per cent in better-off States. The share of working persons in poverty-centric areas in industry (excluding construction), information, professional services, banking and public administration and defence at 11 per cent is less than half of that in the better-off States.

It is observed that 26.8 per cent of population is under poverty line; 29 per cent in rural areas and 22 per cent in urban areas

The higher poverty rates are not necessarily because of rising inequality as the Gini coefficient in Bihar and Uttar Pradesh in both rural and urban areas is lower than the average of All-States. These parameters have not changed over the years making the issue structural.

Attempts so far to eradicate poverty are not designed to overcome the structural constraints. DMF (District Mineral Foundation) and other funds in mineral areas should be used for upskilling, setting up schools, PHCs (primary health centres), nutrition programmes, infrastructure development, creating incentives to set up processing industries near mining areas and improving diversification of local economy beyond mining. Better use of CSR funds must be made.

NOT AN OPTIMAL OPTION

In areas of subsistence agriculture, migration is not an optimal option as migrants tend to suffer from local issues, including isolation, language issues and outright apathy.

Agricultural reforms, land consolidation, cost effective price stabilisation, shift to high value agriculture, increased agricultural productivity and shift of labour to nearby locations in non-agricultural sectors are needed.

Emphasis on local initiatives, local resource endowments, local entrepreneurship and targeted time bound social protection systems should guide the philosophy of all programmes.

POVERTY LINE

Poverty reduction in India has been brought about through social and food security and universal access to basic amenities. International Poverty Line (IPL) defined by World Bank in June 2025 was estimated at $3 a day, adjusted for the purchasing power of money to 2021 prices. Using this as poverty line, World Bank estimated that 5.3 per cent of India's population was below the threshold of $3 per day (PPP) corresponding to ₹60 per person per day.

The Economic Survey and other studies based on the Tendulkar committee methodology and World Bank poverty line indicate a sharp and broad-based decline in poverty. Between 2011-12 and 2023-24, the Survey estimated poverty to have reduced from 21.9 per cent in 2011-12 to 4.7 per cent in 2022-23 and further to 2.3 per cent in 2023-24.

This reduction was contributed mainly by social protection systems which increased their coverage from 22 per cent of the population in 2016 to 64.3 per cent in 2025. But, overall, the reality is perhaps more complex.

Gopalan is former Secretary, Economic Affairs, and Singhi is former Senior Economic Adviser, Ministry of Finance. Views expressed are personal

Tata Sons — should it be listed or remain unlisted?

Preserving the present structure best protects Tata Sons' philosophy of balancing business success with societal responsibilities

B MUTHURAMAN

There has recently been considerable discussion on whether Tata Sons should remain unlisted or seek a public listing. The issue naturally evokes differing views because it is not merely a financial or regulatory question; it also touches upon the history, philosophy and institutional character of one of India's most respected business groups.

From a financial and market perspective, there are understandable arguments in favour of listing. A listed structure can potentially enhance transparency, improve liquidity, broaden ownership participation and enable shareholders to realise market value more fully. These are important considerations and deserve serious attention.

At the same time, the issue perhaps requires a broader reflection on the role and purpose of industrial enterprises in society.

The Tata Group and Tata Sons evolved over more than 165 years with the belief that business must contribute not only to economic growth but also to the larger well-being of society. Financial performance and operational excellence were always regarded as essential, but as part of a wider institutional purpose that included employees, communities and national development.

Over time, this philosophy became deeply embedded in the culture and decision-making processes of the Tata Group. Long before corporate social responsibility became a formal expectation, the Group had consciously attempted to balance commercial success with wider societal responsibilities.

During my nearly fifty years with Tata Steel and the Tata Group, I witnessed several decisions where broader societal and national considerations were weighed alongside financial outcomes. In many cases, the long-term institutional and societal value of such decisions may not have been immediately visible through conventional financial measures alone.

PHILOSOPHY. Business must contribute to the larger well-being of society as well

It is in this context that concerns arise regarding the possible listing of Tata Sons. Public markets, by their nature, bring greater scrutiny, accountability and shareholder expectations. While these can strengthen governance and transparency, they can also create pressures towards shorter-term performance priorities and narrower financial benchmarks.

Institutions such as Tata Sons have historically had the ability to take a wider and longer-term view — balancing commercial objectives with national priorities, societal obligations and institution-building. In a developing country such as India, where business institutions continue to play a critical role in social and economic transformation, this ability has particular significance.

MEANINGFUL COEXISTENCE

India needs credible and responsible industrial institutions that can serve not merely as successful business enterprises, but also as examples of balanced and purposeful capitalism. The Tata Group has, over generations, attempted to demonstrate that business success and societal responsibility can coexist in a meaningful way.

Preserving the present structure of Tata Sons would, in my opinion, best protect this philosophy and allow it to continue serving as a guiding influence for Indian industry and society at large.

The writer is former Vice Chairman, Tata Steel

LETTERS TO EDITOR

Send your letters by email to bleditor@thehindu.co.in or by post to 'Letters to the Editor', The Hindu Business Line, Kasturi Buildings, 859-860, Anna Salai, Chennai 600002.

OSM fiasco

The rollout of the On-Screen Marking (OSM) system by the CBSE for Class XII examinations has exposed several shortcomings in the country's push towards rapid digitisation. While technological reforms are necessary, digitisation alone should not be mistaken for genuine progress. Software systems that determine the academic future of millions of students require phased implementation, repeated trial runs, stress testing under real conditions and an effective grievance redressal mechanism. In India, where competition for higher education and employment opportunities is intense, examinations carry enormous consequences for students and their families. Any technical lapse can severely affect their future prospects.

M Jeyaram
Sholavandan, TN

Striking a chord

This refers to the Pocket cartoon by Ravikanth (May 28). I congratulate the cartoonist for so effectively exposing a serious issue that affects students like me. The cartoon neatly highlights how excuses and lapses in the CBSE system, from poor planning to last-minute problems, leave students anxious and unfairly penalised. The board needs to go beyond routine statements. It should strengthen security for question papers, enforce stricter timelines and improve overall accountability. Such practical steps would reduce uncertainty and help restore faith in the examination process. Well done, Ravikanth, for bringing this to light.

Prajesh Paramasivan
Neelambur, TN

Tax havens cutting back

Apropos 'Meet the FPIs leading the sell-off' (May 28). The granular breakdown of FPI behaviour is genuinely reassuring in parts. The fact that long-term institutional investors — pension funds, sovereign wealth funds, and large mutual funds — have largely held their positions suggests the sell-off is not a broad loss of confidence in Indian equities. It is primarily short-term speculative capital from tax havens rotating towards AI-linked stocks in Taiwan and South Korea, combined with rupee depreciation making valuations less attractive. The more important regulatory question is whether unregulated funds operating through offshore financial centres warrant closer SEBI scrutiny. Their ability to move quickly and in volume creates volatility that affects all investors. Better disclosure requirements for such entities would serve market stability without discouraging genuine long-term foreign investment.

M Barathi
Bengaluru

Bail and jail

Apropos 'A high point in judicial history' (May 28), the fact that the Supreme Court has shown that it is flexible enough to revisit its earlier decisions and correct them, if necessary, is highly admirable. The judgment reinforces that the unwritten rule 'Bail is the rule and jail is an exception' should be the guiding principle for the system, with universal applicability, irrespective of severity of the sections under which the cases was booked. If the High Courts and lower courts follow this path-breaking precedent set by the Supreme Court and decide on the bail pleas of the thousands of prisoners suffering without trial and languishing in jail for long, justice will prevail. However, many of these prisoners, booked for small crimes, may not have the wherewithal even to apply for a bail. As such, government should take the cue from this progressive judgment, and amend the law to prescribe a time limit for custody of under-trials.

Kosaraju Chandramouli
Hyderabd

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Enforcement with trust

Tweaking the sex determination prevention Act

JVR Prasada Rao

India's response to gender-biased sex selection has evolved through a combination of legal, regulatory and social interventions, from the PC-PNDT Act to nationwide campaigns aimed at improving the value accorded to the girl child. At the heart of this framework lies the regulation of diagnostic technologies, particularly ultrasound, alongside efforts to create awareness among people on the deeper issue of gender discrimination and male preference

FEMALE INFANTICIDE. Awareness campaign P GOUTHAM

Legal architecture has steadily expanded over time. What began as a law to regulate prenatal diagnostic techniques was later strengthened to include pre-conception methods and ultrasound, alongside stricter requirements for registration, record-keeping and oversight.

Yet, the effectiveness of any law lies in its implementation. The execution of the Act, largely driven at the State level, has led to variations in interpretation and enforcement across jurisdictions. Differences in procedural requirements, approval mechanisms, and the regulation of imaging technologies have introduced ambiguity in how the law operates on the ground.

This brings into focus a central tension, how to sustain rigorous enforcement against a persistent social evil while ensuring that the regulatory framework remains proportionate and does not impede access to essential diagnostic services. Striking this balance is critical to the law's credibility and effectiveness.

Given the worsening child sex ratio, the Act remains a critical safeguard against sex-selective practices, which continue to persist in more covert forms. This reality underscores why constant vigilance and rigorous enforcement are indispensable.

PRACTICAL CHALLENGES

At the same time, variations in implementation have created practical challenges. In some States, the scope of regulated imaging equipment has been interpreted more broadly than intended, while procedural requirements for registration and approvals differ across jurisdictions. Restrictions on the use of portable ultrasound devices, sometimes extending beyond central guidelines, have limited their deployment for non-pregnancy-related purposes, particularly in remote and underserved areas.

When compliance becomes difficult to navigate, unintended consequences can emerge. In some cases, practitioners are becoming more cautious about maintaining ultrasound facilities, affecting availability of essential diagnostic services for patients.

But enforcement alone is not sufficient. Sustained awareness campaigns, incentive schemes, and investments in girls' education are equally important.

At the same time, stricter enforcement has, in some cases, pushed illegal practices further underground, reinforcing the need for firm and intelligent enforcement.

First, a clear distinction must be made between administrative lapses and deliberate violations, with penalties calibrated accordingly to improve fairness and compliance.

Second, a transition from paper-based systems to digital monitoring. Technology-enabled audit trails can strengthen oversight, reduce discretion, and focus regulatory attention on patterns that indicate misuse.

Third, a more nuanced approach to ultrasound usage across specialities. Not all applications carry the same risk profile. Recognising this distinction can help focus enforcement where it is most needed.

The PC-PNDT Act addresses a social challenge that extends beyond the healthcare system. Until deep-rooted gender bias and attitudes change, the risk of misuse will persist, and with it, the need for constant vigilance and rigorous enforcement.

At the same time, the manner of enforcement must command trust. The task is not to dilute enforcement, but to refine it, to ensure it remains firm against violations while being proportionate and transparent.

The writer is a former Health Secretary, Government of India

AI now advises India. Who decides it's safe?

CHECK AND VERIFY. Given the pace at which AI is being adopted, there is an urgent need to put in place a Consumer AI Safety Code

GETTY IMAGES

SANCHIT VIR GOGIA

Watching an OTT show over the weekend, I caught something more consequential than the show itself. It was the advertising between episodes. In OpenAI's campaign, a lawyer leans on ChatGPT and a UPSC aspirant prepares smarter. In Google's, a child asks Gemini whether a microwave emits radiation, then uses the answer to correct his father. Nothing looked dangerous. That is precisely why it matters.

These ads are not selling software. They are selling trust, teaching ordinary users that AI can advise, explain, fact-check and decide. When a probabilistic system becomes a daily adviser, who is accountable when it is wrong? The honest answer today is: everyone a little, and no one enough. That is what India must fix. The country needs a Consumer AI Safety Code: a practical, risk-based set of rules for general-purpose AI marketed at population scale as tutor, adviser and fact-checker. Not a ban. Not a licensing regime. A code.

India is adopting AI faster than it can govern it. That concern has now sharpened. The first phase was about access. The second is about authority. A bad tool slows you down. A bad authority misleads you with confidence.

India is unusually exposed. It is a young, mobile-first, exam-obsessed, multilingual market with uneven digital literacy and a fast-rising appetite for AI, where a first-time internet user may meet a hallucination before a verified source.

THE DANGERS

The industry will say users are warned, and technically they are. The same OpenAI whose ad shows a lawyer at work publishes support material admitting its system can produce misleading output and sound confident even when wrong. Google documents that Gemini can present inaccurate information as factual. So the advertisements say trust the AI, while the fine print says verify it. A disclaimer that says "AI can make mistakes" is not a consumer safety framework. Neither is privacy law: the Digital Personal Data Protection Act governs how data is collected and handled, not whether a system that advises millions can be trusted to be right.

Consider the child correcting a parent. The arbiter is no longer a textbook or a teacher, but a conversational system, and the child is using AI to settle what is true. A fact-checker that can hallucinate is not useless, but it is not self-certifying either. Hallucinations do not arrive wearing clown shoes. They arrive in fluent sentences and remarkable confidence, and for users with low AI literacy, they do not look like mistakes. They look like facts.

India has done a version of this before. When a cheap, frictionless WhatsApp outran public literacy, the cost was counted in rumour, in panic, and in real-world violence. The lesson was not that the channel was evil. It was that a powerful new way to move information had arrived years before the public learned to use it safely. AI is the same arrival, with one difference. WhatsApp carried what people wrote. AI writes it.

> **If a tool is marketed for education, legal, health or financial decisions, the advertisement should carry clear, use-case-specific** disclosure, that MeitY, the Central Consumer Protection Authority and sector regulators must jointly anchor

There is a quieter version of this risk inside organisations, one we see constantly at Greyhound Research in our advisory work with large global companies. It has a name: shadow AI. Employees paste contracts, client data and source code into consumer chatbots because the tools are useful and the friction is low. Where companies do have a policy, it often continues anyway, with employees buying their own subscriptions and running them from personal laptops, beyond the reach of IT. Most firms cannot say what proprietary material has already left the building.

HEAVY COST

The cost of getting this wrong is not hypothetical. Courts in the US have sanctioned lawyers who filed briefs citing cases the AI had simply invented. In Australia, Deloitte had to refund part of its fee for a government report that contained fabricated academic references and a quote attributed to a Federal Court judge who never said it. The pattern holds: the AI never flagged its error. It presented fiction in the confident register of fact, and a professional signed underneath. If trained lawyers and a global consulting firm, with every incentive to check, could not catch the machine inventing things, what chance does an ordinary consumer have?

None of this is an argument against adoption. AI is here and it is useful. But usefulness is not safety, and adoption is not readiness. So what would the Consumer AI Safety Code require? It would begin with advertising: if a tool is marketed for education, legal, health or financial decisions, the advertisement should carry clear, use-case-specific disclosure, a standard the Advertising Standards Council of India can help shape but that the Ministry of Electronics and Information Technology (MeitY), the Central Consumer Protection Authority and sector regulators must jointly anchor.

It would set a standard for fact-checking claims, so that words like verify or research assistant carry a defined meaning: whether the system cites sources, signals uncertainty, and performs reliably in Indian languages. It would require sensitive-data warnings at the point of risk, not buried in a privacy policy. It would treat AI literacy as education policy and draw sector-specific lines through the bodies that already hold professional accountability: the Bar Council of India, the National Medical Commission and the financial regulators. And it would ask platforms to publish India-specific safety transparency reporting.

Technology companies will argue that regulation must not slow progress. Fair enough. But governance is not the opponent of innovation. It is the discipline that lets adoption scale without citizens absorbing the cost of every error.

Consider the use case the ads never show. India carries a serious mental-health burden, with too few professionals, deep stigma, and millions who will never see a clinician. Into that silence steps a free chatbot that listens patiently at midnight. It will not feel like software. It will feel like care.

So ask the question personally. If it were your parent, your child or your closest friend leaning on an AI system for support in a hard hour, what would you want to be true about it? That it had been tested for that conversation. That it would not improvise. That someone, somewhere, was accountable for what it said.

The question is no longer whether Indians will use AI. They already do. It is whether India will build the disclosures, the literacy and the institutions that trust demands before AI becomes the voice the country turns to. If AI is going to advise India, teach India, sell to India, soothe India and fact-check India, then India must first decide whether trust in this large can be left to the companies that profit from it.

The writer is the Chief Analyst at Greyhound Research

AI boom makes China less afraid of strong yuan

Bloomberg News

The global AI investment boom is powering a new wave of Chinese exports and making Beijing more comfortable with a stronger yuan.

The tightly managed onshore currency is set for a sixth quarter of gains against the dollar — a streak not seen since 2013. In the past, such a move would have drawn a more forceful response from Beijing, which is usually wary it could hurt exports and economic growth.

But even as the yuan climbed to its strongest level since 2023 and the economy looked more fragile, policymakers have shown little urgency to step in.

That's in large part because the AI investment boom is changing China's trade structure. The country once relied on low-cost manufacturing, with producers of garments, furniture and household goods operating on razor-thin margins that made exchange-rate swings matter more. Now, more companies are riding a lucrative wave as demand for semiconductors, servers and other AI hardware becomes a powerful new export driver, easing the pressure a stronger yuan would traditionally place on manufacturers.

Equally striking has been the surge in imports this year, outpacing export growth as China buys more chips and semiconductor equipment. Deutsche Bank AG noted that the last two times inbound shipments grew much faster than outbound — in 2010-11 and 2017 — the yuan strengthened against the dollar. A stronger currency makes imports cheaper.

STRONG YUAN. Structural changes REUTERS

"What has changed is exports appear less sensitive to currency moves than previously thought, meaning the benefits of currency appreciation carry more weight in exchange rate policy," said Duncan Wrigley, chief China economist at Pantheon Macroeconomics.

Since 2013, China's export engine has expanded dramatically as the yuan fell against the dollar. The country's trade surplus widened from around $260 billion in 2013 to record levels approaching $1.2 trillion last year.

Over that period, the yuan weakened from around 6 per dollar to beyond 7 at various points. Beijing largely tolerated — and at times appeared to encourage — currency weakness when the economy was under strain, including during the 2015 devaluation that shocked global markets and the 2018-20 trade war with the US. The yuan also faced sustained pressure from 2022 through early 2025 as China's interest rates fell below US levels and the property downturn deepened.

thehindubusinessline.

TWENTY YEARS AGO TODAY.

May 29, 2006

Power exchange: NTPC to work out parameters

NTPC is working out the broad contours of the proposed nationwide Power Exchange, with the consultants to the project Nord Pool ASA and Crisil – having submitted their final proposals for setting up electricity pooling mechanism in the country.

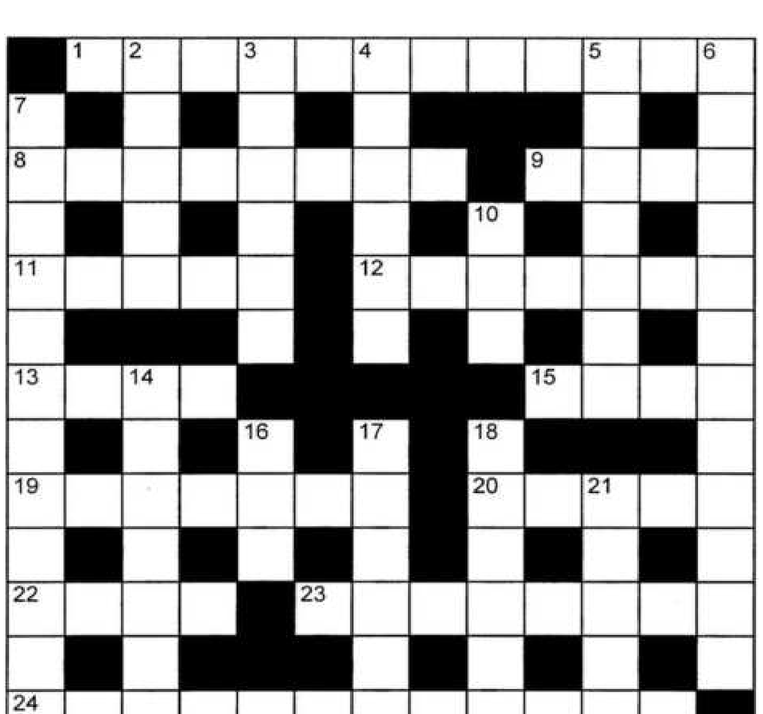
RBI stand on FDI in proprietary firms delays FIPB decisions

The Reserve Bank of India's stand regarding investment by NRIs and PIOs in partnership firms is holding up clearance of applications for fresh investments by the Foreign Investment Promotion Board (FIPB). The central bank has been asked to furnished its "reasoned comments" to enable the Government to take a stand on such proposals.

CDMA camp divided over spectrum allocation

The subscriber-linked spectrum allocation policy has divided the CDMA camp with Reliance Infocomm joining ranks with the GSM operators in supporting the Government decision. At a meeting held by the CII to discuss the controversial policy, the other CDMA operator, Tata Teleservices, vehemently opposed the move by the DoT to allocate spectrum according to the number of subscribers.

BL TWO-WAY CROSSWORD 2690



EASY

ACROSS

01. Place for getting into other clothing (8-4)
08. One to tell the tale (8)
09. Use spoon (4)
11. Follow (5)
12. In a vacuous way (7)
13. Flower-holder (4)
15. Nought (4)
19. Disgusting to sight or smell (7)
20. Sound system (5)
22. Flag (4)
23. As long as it lasts (8)
24. Singing birds (12)

DOWN

02. Does injury (5)
03. Approached (6)
04. Smoothed (6)
05. Not indoors (7)
06. Fairground amusement (5-2-5)
07. Mediation (12)
10. Espionage agent (3)
14. Putting to sea (7)
16. Tooth of gear-wheel (3)
17. Go back (6)
18. Fruit (6)
21. Impel (5)

NOT SO EASY

ACROSS

01. Altering space where one may get into strip (8-4)
08. Tara is about right to be held back by Ron, he recounts (8)
09. Get out of bed and cause trouble (4)
11. When only a half, little Susan must come next (5)
12. I'm type to be upset with Latin in a boastful manner (7)
13. Much that's stalked may be displayed herein (4)
15. Nero's name replaced by last character at end of countdown (4)
19. A few follow number one, which is repulsive (7)
20. Gaudy tin box, contents of which make up sound system (5)
22. One will almost get up the rainbow (4)
23. Of the French artist, not one to change, for however long! (8)
24. Songsters almost providing a hefty blast in the cans (12)

DOWN

02. Does some damage to weapons with hydrogen in the first place (5)
03. Got close to the listener in the wrong end (6)
04. Was pressing part inside, no? Right – turn it up! (6)
05. Not much chance of being abroad with the team (7)
06. On which one is happy to move in circles? (5-2-5)
07. Action of mediator turns into tin? Never! (12)
10. Look where one shouldn't, say, quietly replacing the centre (3)
14. Going off to sea – even under steam! (7)
16. Get tooth stuck in chewing oca up (3)
17. Being concerned with variety act, send it back (6)
18. Forbid table-talk that could form part of dessert course (6)
21. Plunge right in and take place at the wheel (5)

SOLUTION: BL TWO-WAY CROSSWORD 2689

ACROSS 1. Particulars 8. Equation 9. Tour 10. Beast 13. Half 16. Nook 17. Talc 18. Lump 20. Actor 24. Tend 25. Meteoric 26. Illustrated

DOWN 2. Arum 3. Title 4. Cross 5. Aitch 6. Personality 7. Proficiency 11. Arena 12. Twist 14. Away 15. Form 19. Pedal 21. Cheat 22. Opera 23. True

CHENNAI
businessline.
FRIDAY - MAY 29 - 2026

QUICKLY.

Dr Reddy's to mark 25 years of listing on NYSE

Hyderabad: Dr Reddy's Laboratories has been invited to ring the closing bell at the New York Stock Exchange (NYSE) to celebrate 25 years of its listing on the NYSE. In April 2001, Dr Reddy's became the first pharmaceutical company in Asia, outside Japan, to be listed on the NYSE. The senior management team of Dr Reddy's, including Satish Reddy and Erez Israeli, Chief Executive Officer, will attend the closing bell ceremony at the NYSE, New York, on May 29. OUR BUREAU

Unitech Q4 net loss widens to ₹441 crore

New Delhi: Realty firm Unitech Ltd on Thursday reported a consolidated net loss of ₹441 crore for the quarter ended March 2026. Its net loss stood at ₹309.95 crore in the year-ago period. Total income rose to ₹145.31 crore in the fourth quarter of FY25-26 from ₹126.34 crore in the year-ago period. Total income increased to ₹566.80 crore from ₹396.80 crore in the 2024-25. PTI

Halving of recoveries to 23% under IBC is a cause for concern, says ICRA

DOWNWARD TREND. Realisations fell sharply, with recoveries down to 22% in H2 FY26 from 63% in H2 FY25

Our Bureau
Mumbai

Halving of recoveries against admitted claims to 23 per cent in FY26 from 46 per cent in FY25 under the Insolvency and Bankruptcy Code (IBC) is a cause for concern, according to rating agency ICRA.

Realisations reduced significantly in FY26, led by the significant drop in recoveries to 22 per cent in H2 (second half) of FY26 from 63 per cent in H2 FY25, per a study by the agency.

ICRA noted that the number of resolution plans (RPs) approved by the National Company Law Tribunal (NCLT) under the IBC dipped to 225 cases in FY26 from 259 cases approved in FY25.

At the same time, the number of cases admitted in the corporate insolvency resolution process (CIRP) declined 6 per cent to 679 from 724. Manushree Saggar, Senior Vice-President and Group Head, Structured Finance Ratings, ICRA, observed that the IBC continues to be plagued by long resolution timeframes, high haircuts for lenders and a sizeable share of liquidation cases.

TOP SECTORS. Real estate and construction continued to account for the highest number of cases admitted in FY26

"While some improvement was noted in Q4 (January-March) 2025-26 with recovery rates inching up to 23 per cent, this was well below the recovery rates seen in 2024-25 as well as 2025-26." she said.

Although the seventh IBC amendment bill was passed in April 2026 to address shortcomings, ICRA believes that the actual implementation of the revised code would be critical to improve the success rate.

DEADLINE EXCEEDED

Further, almost 78 per cent of the ongoing CIRP cases had exceeded 270 days, post admission by the NCLT, as on March 31, 2026. The average resolution time worsened to 744 days as on March 31, 2026 from 713 days as on March 31, 2025, significantly exceeding the deadline provided by the IBC.

The report said despite the reforms implemented by the Insolvency and Bankruptcy Board of India (IBBI) in March 2025, aimed at improving the efficiency of the auction process under liquidation, recovery rates dipped to 4 per cent in FY26 from 5 per cent in FY25 with timelines worsening to 531 days as on March 31, 2026 from 508 days as on March 31, 2025.

Real estate and construction continued to account for the highest number of cases admitted in FY26. Although the IBBI has come up with some amendments to the IBC, more changes are proposed, given the wider socio-economic impact of stalled RE projects, ICRA said.

Empirical data suggests that recoveries in case of successful RPs (31 per cent recovery) have been higher than for cases resolved through liquidation (4 per cent recovery), per the report.

An encouraging sign was lower liquidations in H2 FY26, resulting in a resolution to liquidation ratio (Number of cases where the RP is approved by the NCLT divided by the number of cases for which liquidation orders are passed by the NCLT) of 1.11 against 0.77 in H1 FY26.

ICRA attributed the decline in recovery rates in FY26 to a few large cases (admitted claims of more than ₹1,000 crore), wherein 24 per cent recovery was achieved against the admitted claims. These cases accounted for 95 per cent of the recovery amount but a minuscule 8 per cent of the number of approved RPs in 2025-26.

Thus, ICRA believes that an improvement in recoveries for large cases would be critical to the overall success of the code.

Maxvolt eyes South India entry in FY27, bets on BESS & lithium recycling

Amit Vijay Mohile
Mumbai

Ghaziabad-based Maxvolt Energy, which raised ₹54 crore through its NSE SME listing in February 2025, has unveiled a nearly $73 million multi-phase roadmap spanning battery manufacturing, energy storage systems (ESS), EV batteries and lithium recycling as it looks to move beyond the crowded electric scooter battery market.

"We are transitioning from being largely a two-wheeler battery company to building a broader battery-energy battery storage (BESS) ecosystem spanning, commercial EV batteries and lithium recycling," said Satendra Shukla, Co-Founder & Chief Executive Officer, Maxvolt Energy Industries.

The company plans to raise additional capital to support manufacturing automation, a large-format battery and BESS facility in Uttar Pradesh, and a dedicated recycling and critical-mineral recovery business.

While Maxvolt's immediate focus remains on strengthening operations across North, West and East India, it is also preparing a FY27 entry into the Southern States. "South India is becoming a strong growth market for solar-linked storage and commercial EV adoption," Shukla said.

RECYCLING PIVOT

At the centre of the strategy is subsidiary Maxvolt ReEarth, which is being positioned as an integrated recycling and resource-recovery platform .

The company plans to build a take-back network across EV OEMs, e-rickshaw fleets, telecom infrastructure providers, solar-storage operators and retail battery customers through its 875-plus dealer network.

The pivot follows a breakout FY26 for the company. Revenue from operations nearly tripled to ₹296.77 crore in FY26 from ₹107.47 crore in FY25, while net profit rose 141 per cent to ₹24.38 crore. EBITDA increased to ₹35.6 crore, although margins softened slightly to 12 per cent amid raw material and currency volatility.

Maxvolt plans to allocate nearly 60 per cent of its future manufacturing capacity toward electric three-wheeler batteries and ESS applications, betting on the gradual shift of India's e-rickshaw market from lead-acid to lithium-ion batteries.

To support the transition, the company plans to commission an automated robotic battery-pack manufacturing line by October 2026, taking annual battery-pack manufacturing capacity to around 2.2 GWh.

It also plans to begin development of a six-acre advanced battery manufacturing campus in Aligarh by August 2026. The facility is expected to eventually scale up to 10 GWh capacity a.

"Our planned investments in automation, battery manufacturing and recycling infrastructure are aimed at preparing Maxvolt for the next phase of scale as India's EV and energy-storage markets mature," Shukla said. The broader push will be funded through IPO proceeds, internal accruals and bank-led project financing.

Maxvolt is also building a lithium-ion recycling and critical-mineral recovery business as tightening battery-waste regulations reshape India's EV supply chain.

Bajaj Finserv to invest ₹1,500-2,000 crore in AI start-ups over five years

Our Bureau
Mumbai

Bajaj Finserv on Thursday said companies under its fold will invest ₹1,500-2,000 crore over a five-year period in AI innovation startups as part of the newly launched 'Finserv Intelligence' programme, a group-wide strategic initiative in applied research and innovation, focused on high-tech, low unit-cost, highly scalable solutions.

The programme will prioritise early-stage companies, from seed to Series B, with strong scalability potential across AI, cybersecurity, quantum technologies, fintech, and consumer technology platforms, according to a statement by the diversified financial services company. Finserv Intelligence is designed as a holistic innovation ecosystem with a five-to-ten-year horizon for realisable impact. It will operate through an integrated model that brings together academic collaborations, investments in the start-up ecosystem, and in-house specialists.

"Drawing on leading global and domestic innovation models, the initiative envisages R&D labs, centres of excellence, venture-led models and Scholars-in-Residence programme for capability building," it said.

JOINING HANDS

Bajaj Finserv said Finserv Intelligence had partnered IIT-Bombay, with an MoU and Master Collaboration Agreement being signed to establish a joint research centre and define a joint statement of work spanning AI, cyber security, quantum technologies and the reimagining of physical retail experience.

Sanjiv Bajaj, Chairman & Managing Director, Bajaj Finserv, said, "The next decade of value creation in financial services will belong to those who build technology that powers it... With IIT Bombay, we are putting India's finest scientists and most ambitious founders at the centre of solving problems that matter to a billion-plus Indians."

Rajeev Jain, Vice-Chairman & MD, Bajaj Finance, underscored that Finserv Intelligence offers founders something fundamentally different from capital alone.

"Start-ups will plug directly into Bajaj Finserv's enterprise ecosystem, our governance frameworks, financial discipline, operational depth and market insight, alongside flexible ticket sizes and committed follow-on investment.

"Through direct engagement with our leadership, structured growth playbooks and hands-on mentorship,we will instil the principles that build enduring companies with frugal engineering, sharp unit economics, ROI discipline and rigour required to scale," he said.

Jain emphasised Bajaj Finserv group's ambition is to be a strategic co-architect for deep tech founders, helping them evolve from promising ideas into market-ready, resilient institutions.

Shireesh Kedare, Director, IIT-Bombay, said, "Our collaboration with Bajaj Finserv strengthens the industry-academia partnership required to accelerate innovation and build scalable solutions for the future — especially in the domain of fintech."

TODAY'S PICK.

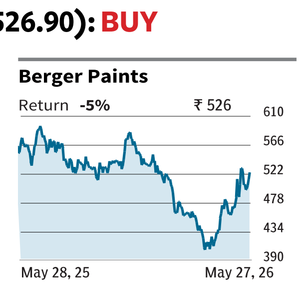
Berger Paints India (₹526.90): BUY

Gurumurthy K
bl. research bureau

The short-term outlook is bullish for Berger Paints India. The stock has been in a strong uptrend since mid-March. This upmove is also happening inside a bull channel. Within that, the stock is now moving up from the lower end of this channel. Support is at ₹507.

The 200-Day Moving Average support is also poised near this level. That makes it a very strong support. Berger Paints India share price can go up to ₹565-₹570 in the coming weeks.

Traders can buy Berger Paints India shares now at ₹527. Accumulate on dips at ₹515. Keep the stop-loss at ₹497



initially. Trail the stop-loss up to ₹535 as soon as the stock goes up to ₹548.

Revise the stop-loss higher to ₹546 and ₹556 when the price touches ₹552 and ₹563 respectively. Exit the long positions at ₹568.

Note: The recommendations are based on technical analysis. There is a risk of loss in trading

Day trading guide

24001 » **Nifty 50 Futures**

S1	S2	R1	R2	COMMENT
23880	23790	24050	24160	Go long on a break above 24050. Keep the stop-loss at 24010

₹759 » **HDFC Bank**

S1	S2	R1	R2	COMMENT
754	747	762	768	Go short now and at 761. Keep the stop-loss at 763

₹1162 » **Infosys**

S1	S2	R1	R2	COMMENT
1155	1140	1175	1190	Take fresh shorts below 1155. Keep the stop-loss at 1160

₹292 » **ITC**

S1	S2	R1	R2	COMMENT
291	287	294	296	Go short only below 291. Stop-loss can be kept at 293

₹273 » **ONGC**

S1	S2	R1	R2	COMMENT
270	265	275	277	Go short now and at 274. Stop-loss can be placed at 276

₹1353 » **Reliance Ind.**

S1	S2	R1	R2	COMMENT
1345	1320	1365	1380	Take fresh shorts below 1345. Keep the stop-loss at 1350

₹967 » **SBI**

S1	S2	R1	R2	COMMENT
965	962	972	978	Go long only above 972. Stop-loss can be kept at 970

₹2287 » **TCS**

S1	S2	R1	R2	COMMENT
2260	2210	2315	2340	Wait for a rise. Go short at 2310. Keep the stop-loss at 2325

S1, S2: Support 1 & 2; R1, R2: Resistance 1 & 2.

'Insurance premium financing gaining traction after GST waiver'

G Naga Sridhar
Hyderabad

The demand for insurance premium financing has risen sharply, in line with the overall increase in insurance uptake following the waiver of Goods and Services Tax (GST) on individual life and health insurance premiums, according to Hanut Mehta, Co-founder and CEO, BimaPay Finsure.

"The GST impact played a significant role in increasing the uptake of premium financing from the third quarter of the last fiscal year, and the retail health segment continues to account for nearly 85 per cent of the premium financing business," Mehta told *businessline.* BimaPay Finsure witnesses a sharp rise in its business volumes during FY26, driven by the maturity of insurance partnerships and higher adoption of long-tenure policies.

Its annual premium disbursements surged to ₹1,200 crore in FY26, marking a four-fold increase from ₹250-300 crore recorded in FY25.

The company's assets under management (AUM) also expanded significantly, rising from ₹220 crore as on March 31, 2025, to ₹650 crore as on March 31, 2026. Nearly 85-90 per cent of the growth in AUM came from the retail health insurance segment.

Hanut Mehta, Co-founder and CEO, BimaPay Finsure

The growth was supported by the expansion of existing insurance tie-ups, onboarding of new insurers, and increasing adoption of premium financing by sales managers and agents to promote higher-tenure and multi-year insurance policies.

> **Annual premium disbursements surged to ₹1,200 crore** in FY26, marking a four-fold increase from ₹250-300 crore recorded in FY25

The company has expanded its partnerships and is currently live with eight general and health insurance companies, which dominate more than 50 per cent of the retail health market.

FUTURE PLANS

They are also live with two life insurance companies.

"We are targeting at least two-fold growth in the current financial year, with premium disbursements expected to touch ₹2,500-3,000 crore and AUM projected around ₹1,500 crore," Mehta said.

The company, being profitable, is self-capitalised and self-sufficient, and they do not currently see a need to raise more money.

AFFORDABLE OPTION

"Our operations are Pan India, offering a digital real-time product available to customers nationwide, provided they are buying or renewing a policy with one of the partnered insurance companies," Mehta added.

On why premium financing demand is increasing, Mehta said it makes buying a multi-year policy more affordable, even with the added interest cost, because insurers offer a 10-15 per cent discount for longer terms.

For one-year policies, the company offers EMIs up to 11 months, which helps with affordability challenges for high-ticket policies like those over ₹50,000 or 60,000.

According to him, the financing cost is relatively low. "With a flat rate of about 9-10 per cent per annum, meaning a ₹100 policy with a 12-month EMI costs ₹109 total, which is not expensive considering the payment flexibility provided," he added.

Bata India eyes 3,000 stores, to strengthen digital commerce and premiumisation strategies

bl.interview

Meenakshi Verma Ambwani
New Delhi

Bata India MD & CEO Gunjan Shah said that there was accelerated momentum in the March quarter driven by mid-single digit volume growth. While closely monitoring the impact of the West Asia conflict, the footwear major remains steadfast on its premiumisation and retail expansion strategy. *Edited excerpts:*

> We expect digital commerce to contribute almost 20-25 per cent of our business in the next 2-3 years
>
> **GUNJAN SHAH**
> Bata India MD & CEO

What has been the impact of the West Asia crisis and have you had to take price hikes?

Despite uncertainties, our job is to make sure that we stay on course in terms of our expansion strategies. We are closely monitoring the situation and it all depends on how long the West Asia crisis lasts.

If it goes on for a longer period then there could be some supply disruptions because a lot of raw materials and derivatives of petroleum and crude oil are imported by India. There could also be emergence of inflationary challenges. On our part, we have taken various measures including building up on our inventory.

Right now, I think we are sitting in a reasonably good position but we need to wait and watch.

As of now we have stayed away from any price hikes but both the product and the finance teams are looking at this situation very closely, so that we make the right decisions at the right time.

How was the performance and volume growth in the March quarter?

We witnessed a broad based growth. The initiatives that we've been working on for the last four-five quarters have finally started showing an impact. Our full-price sales were at its highest levels ever at close to 90 per cent of our business.

We also recorded a mid-single-digit volume growth. Premium portfolio, led by Hush Puppies and Power, continued to outpace overall growth.

Growth in digital commerce, as well as the expansion into the hinterland continued at a good pace.

We did see an impact due to one-time expenses related to Voluntary Retirement Scheme, which is aligned with our long-term efficiency strategy and provisions made for non-cash forex loss due to currency fluctuations.

But besides that, I think we had decent operational results as we saw sequential improvement in momentum with March performance being stronger than January. We have also significantly amped up our marketing investments over the last two quarters and we remain steadfast on that commitment that we will invest behind our brands.

What will be the key focus in terms of strategy in FY27?

After we have crossed the 2,000-stores retail network milestone, we want to push towards 3,000 stores in the next 3-4 years.

So that expansion agenda will continue even more aggressively going forward. The e-commerce business has been our fastest growing business in strong double digits for several quarters now. We will continue to strengthen that with the omni-channel initiative that we have rolled out across a large network as it gives us competitive advantage. We are also strengthening our premiumisation strategy backed by solid marketing investments.

Has quick-commerce become a more significant channel with the entry of new players?

We expect the overall e-commerce channel to continue growing at a much faster pace. We expect digital commerce to contribute almost 20-25 per cent to our business in the next 2-3 years. So, a significant chunk of growth will come from digital commerce.

Within that, e-commerce will have different models. We are leveraging our large retail network which gives us a key advantage.

We have the ability to serve from over 2,000 stores and are much closer to the consumer in terms of swifter deliveries and we are already collaborating with platforms in this regard.

PB Fintech Co-founders plan ₹653.6 crore share sale via block deal

Our Bureau
Mumbai

Shares of PB Fintech, the parent of Policybazaar, are set to see a block deal worth up to ₹653.6 crore ($68 million) on Friday, with Co-founders Yashish Dahiya and Alok Bansal planning to pare a small portion of their holdings through a secondary share sale.

According to the term sheet, the transaction involves the sale of up to 3.8 million shares, representing around 0.8 per cent of the company's total outstanding shares.

The indicative floor price has been fixed at ₹1,720 per share, implying a discount of about 3.6 per cent to the stock's closing price of ₹1,784.80 on the NSE on May 27.

The transaction will be executed through one or more sales on stock exchanges. Kotak Securities is acting as the sole bookrunner for the deal.

The proposed sale is entirely secondary in nature, meaning the proceeds will go to the selling shareholders and not to the company.

No need to cut GST on flex-fuel vehicles: Tata Motors PV CEO

COST STRAIN. Rising fuel prices remain a key concern for the auto industry, says Shailesh Chandra

S Ronendra Singh
New Delhi

NEW LINE-UP. Shailesh Chandra, MD & CEO, Tata Motors Passenger Vehicles, at the launch of Next Gen Tiago and Tiago.ev

To promote flex-fuel vehicles, Tata Motors has said the government should make the fuel affordable (cheaper) rather than reducing the Goods and Services Tax (GST) on such vehicles because price of the fuel directly impacts the customers.

"There is absolutely no need to reduce the GST on such vehicles... Benefit has to go to consumers. A study has to be done by what level it can be reduced. That could be the threshold, otherwise people won't get excited about flex-fuel vehicles (FFVs). If you make it cheaper, that would become a base fuel and people will start buying FFVs," Shailesh Chandra, Managing Director and Chief Executive Officer, Tata Motors Passenger Vehicles, told *businessline*.

With the surge in crude oil prices, the Centre is pushing for more alternative fuels, including flex fuels, and companies like Maruti Suzuki India and Hero MotoCorp are launching flex fuel powered vehicles next week. While Maruti Suzuki is introducing its WagonR flex fuel on June 4, Hero MotoCorp is launching Splendor and HF Deluxe commuter bikes powered by this new fuel.

SHIFT IN CHOICES

Speaking on the sidelines of the all-new Tiago launch here, Chandra said rising fuel prices remain a key concern for the auto industry, with rates having increased four times in the last 10 days, making it difficult to assess the eventual impact on consumer sentiment and demand.

Chandra added that the rising fuel prices could also entail a shift in purchase choices in the small car segment, which is the most sensitive regarding the acquisition and operating cost of the vehicle for a customer.

"Bigger cars, people are less sensitive to changes in fuel prices and so on, and therefore they might continue with their purchase decisions. But, in the smaller segment, people are very sensitive to their monthly expenses, and therefore fuel price hikes disturb the dynamics for such a buyer," he said.

He cautioned that higher diesel prices could have a multiplier effect on inflation, which may influence consumer sentiment and spending patterns.

CAPACITY EXPANSION

In terms of EVs, he said there had been a sudden rush in demand and for Tata Motors too, it had risen close to 33 per cent or nearly one-third of its total bookings in May this year and therefore, Tata Motors is going to increase the capacity of its EVs — to around 15,000 a month from around 10,000 per month currently — in the next three-four months.

Meanwhile, Tata Motors Passenger Vehicles launched the Next Gen Tiago hatchback available across petrol, iCNG and electric powertrains, starting at ₹4.69 lakh for the petrol version, ₹5.79 lakh for the iCNG and ₹6.99 lakh for the electric version.

While the petrol variant is priced between ₹4.69 lakh and ₹7.29 lakh, the iCNG is priced between ₹5.79 and ₹7.99 lakh (all prices are introductory ex-showroom).

The Tiago.ev is priced between ₹6.99 lakh and ₹9.99 lakh, and will also be available with battery-as-a-service option, starting at ₹4.69 lakh (with battery EMI of ₹2.6 per km).

QIA says no settlement in sight with Byju's, to pursue debt recovery

Our Bureau
Bengaluru


Byju Raveendran, Founder of Byju's

The Qatar Investment Authority (QIA) has said it will continue pursuing repayment of debt and recovery of the arbitral award in its favour, while rejecting Byju Raveendran's allegation that the recent contempt order was being used as a pressure tactic to force a settlement.

In a formal response to Raveendran, a QIA spokesperson said, "QIA was pleased by the result of the contempt hearing in Singapore. The six-month prison sentence against Byju arose from his serious wrongdoing, including violation of a global freezing order on his assets."

The statement comes amid ongoing settlement discussions between the founder, QIA, GLAS Trust and other stakeholders. However, Raveendran alleged that the agency was resorting to pressure tactics during negotiations.

Responding to this, QIA said, "We intend to respect the confidentiality of settlement discussions; however, no settlement appears achievable."

MAJOR BACKERS

QIA was among the major backers of the edtech company. It first invested over $150 million to support the company's international expansion, followed by another $250 million investment in 2022 through a flat funding round. In the same year, the company also entered into a Middle East and North Africa (MENA) partnership to launch a research and development centre in Doha.

Since then, however, the investor and lenders have pursued legal action across multiple jurisdictions to recover dues. QIA secured an emergency arbitral order from the Singapore International Arbitration Centre (SIAC), freezing Raveendran's international assets.

It later approached the Karnataka High Court to enforce a $235 million arbitral award in August 2025, followed by an interim asset freeze order in September 2025.

The prison sentence follows Raveendran's failure to comply with Singapore court orders linked to the disclosure of his assets.

Legal action is also underway in the US , where lenders represented by the GLAS Trust are seeking repayment of the $1.2 billion Term Loan B issued in 2021.

The founder and affiliated entities have been accused of moving $533 million from the loan proceeds out of the US, allegedly in violation of the loan terms.

PMS industry sees strong April inflows; AUM rises above ₹42 lakh cr

Our Bureau
Mumbai

The portfolio management services (PMS) industry witnessed a sharp rebound in investor flows in April, following the market correction and volatility seen in March, with net inflows turning positive at ₹25,088 crore, compared with a net outflow of ₹648 crore in the previous month.

Data from the Association of Portfolio Managers in India's (APMI) latest monthly compendium showed total inflows into PMS strategies rose 27 per cent month-on-month to ₹46,030 crore in April, while outflows declined 43 per cent to ₹20,942 crore.

The PMS industry's assets under management rose 2.1 per cent month-on-month to ₹42.29 lakh crore in April, even as the total client base declined 1.7 per cent to about 2.12 lakh accounts.

EQUITY MARKET RALLY

The improvement in PMS flows coincided with a broad-based recovery in Indian equities in April.

The benchmark Sensex rose 6.9 per cent during the month, while the Nifty 50 gained 7.5 per cent. The rally was sharper in the broader market, with the BSE Midcap and Smallcap indices advancing 13.8 per cent and 19.6 per cent, respectively.

The rebound came alongside a strong rally in Indian equities, especially mid-cap and small-cap stocks

Overall equity AUM expanded 13.8 per cent month-on-month in April. Within this, listed equity assets rose 13.6 per cent, while unlisted equity assets surged 38.8 per cent as investor appetite for private-market opportunities grew.

Unlisted plain debt assets also jumped 150.5 per cent from March levels, as allocations towards specialised and diversified strategies increased beyond traditional listed equity exposure.

"This month's data points to a deeper transition underway within India's wealth landscape," said Vikas Khemani, Board Member at APMI.

"Capital is no longer moving only towards traditional equity exposure, but increasingly towards specialised and diversified strategies across listed and unlisted markets," he said.

Discretionary PMS continued to dominate the industry, accounting for 84.9 per cent of total AUM and over 95 per cent of the client base. Discretionary inflows alone stood at ₹33,540 crore in April, up 52 per cent month-on-month.

DOMESTIC INVESTORS

Participation from foreign investors within PMS portfolios also increased despite volatility in public markets. Foreign AUM rose 7.8 per cent month-on-month in April, led by a 12 per cent increase in non-resident assets and a 7.4 per cent rise in FPI assets.

Domestic investors, however, continued to dominate the industry, accounting for 95 per cent of total PMS assets, with PF/EPFO assets alone contributing nearly ₹31.8 lakh crore, or around 80 per cent of domestic AUM.

Demand for commuter bikes and small cars weakens in early May due to rising fuel prices

Amit Vijay Mohile
Mumbai



IN SLOW LANE. Brokerages warned that rising fuel prices, inflation and vehicle price hikes could moderate demand for entry-level PVs and two-wheelers in the coming months

Early May sales trends, Vahan retail data and brokerage estimates are beginning to signal selective stress across India's auto market, with rising fuel prices and ownership costs weighing on entry-level cars, commuter motorcycles and commercial vehicles, even as SUVs, EVs and premium segments continue to hold up.

Brokerages tracking the sector say the industry is entering a more uneven phase of growth rather than a broad-based slowdown, with affordability-led categories facing pressure from fuel inflation, rising operating costs and weaker retail conversion, while premium and fuel-efficient segments remain relatively resilient.

URBAN DEMAND

Brokerages, including Nomura and Nuvama, remain constructive on near-term auto demand, arguing that financing availability, premiumisation, launches and urban consumption are helping sustain "wholesales momentum" despite macro headwinds. Nomura expects passenger vehicle wholesales to rise 24 per cent year-on-year in May to 427,000 units while projecting FY27 passenger vehicle growth at roughly 8 per cent. Nuvama similarly expects passenger vehicle growth above 20 per cent in May alongside "strong double-digit growth" across two-wheelers, commercial vehicles and tractors, supported by "better affordability, new products and adequate financing availability".

Choice Institutional Equities, citing Vahan retail data for May 1-24, said overall auto retail sales rose 7.8 per cent year-on-year, led by 20.8 per cent growth in passenger vehicles. The brokerage said demand continues to be supported by "steady consumer sentiment", recent launches and softer interest rates.

Even within the bullish camp, however, brokerages are beginning to acknowledge emerging stress beneath headline growth. Nomura warned that rising fuel prices, inflation, and vehicle price hikes could "moderate demand" for entry-level passenger vehicles and commuter two-wheelers.

Nuvama's dealer checks also indicated that "discounts have trended higher" across several mass-market passenger vehicle models, signalling increasing pressure on retail conversion and inventory levels. The brokerage also flagged "uncertainties relating to freight availability" and said farm "terms of trade have turned significantly adverse" following the recent fuel inflation shock.

RISING PRESSURE

Brokerages, including HDFC Securities and Emkay Global, are becoming increasingly cautious on affordability-led segments, arguing that fuel inflation and rising ownership costs are beginning to weaken mass-market demand.

The divergence is becoming particularly visible in two-wheelers, where rising fuel prices are effectively acting as a "direct tax on rural and lower-middle-class disposable income", weakening recovery prospects for commuter motorcycles and entry-level cars. HDFC Securities said consumers are becoming increasingly "mileage-sensitive", strengthening the appeal of fuel-efficient and CNG-heavy portfolios.

Choice's Vahan retail data showed CV retail growth at only 4.7 per cent in May despite healthy passenger vehicle momentum, with the brokerage citing "stagnant freight rates" and "higher operating costs".

STRUCTURAL SHIFT

Brokerages, including Elara Capital and Motilal Oswal, believe the current cycle is less about an outright demand collapse and more about a structural shift in how growth is emerging across India's auto market.

Elara and Motilal Oswal both believe rising fuel prices are structurally improving EV economics by reducing EV payback periods and accelerating migration toward EVs, hybrids and fuel-efficient vehicles.

Motilal Oswal said fuel inflation is "fundamentally altering the total cost of ownership equation" for consumers, while brokerage commentary indicated that EV bookings and electric scooter demand continued to outpace ICE demand.

The broader consensus emerging across brokerages suggests that the auto industry is not entering a broad-based slowdown, but a more selective and uneven growth cycle.

CHENNAI
businessline.
FRIDAY - MAY 29 - 2026

QUICKLY.

Gold prices pare losses after US inflation data

Bengaluru: Gold trimmed losses on Thursday following the release of US April inflation data, but prices were still down for a third straight session as scepticism over a US-Iran deal clouded the interest rate outlook. Spot gold was down 0.6 per cent at $4,428.69 per ounce as of 9.16 am EDT (1316 GMT), after falling to its lowest level since late March earlier in the session. REUTERS

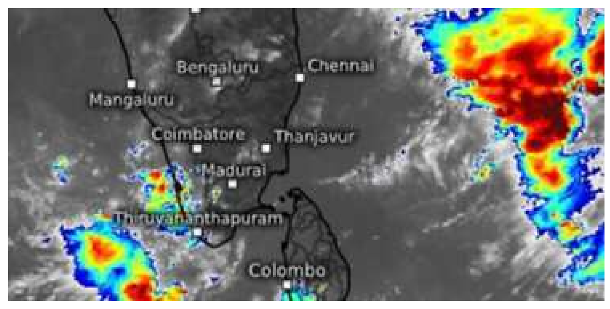
Crude oil swings on US-Iran truce pact

Oil swung between gains and losses on a report that the US and Iran have reached a preliminary agreement to extend the ceasefire between the two countries and launch negotiations on Iran's nuclear programme. West Texas Intermediate traded around $89 a barrel, while Brent crude, the global benchmark, was near $94 a barrel. BLOOMBERG

Incoming western disturbance threatens to block monsoon path

HURDLES. Seas seemed reluctant to support onset so far; land atmosphere, too, may be turning resistant now

Vinson Kurian
Thiruvananthapuram



NOT THERE YET. Convection and cloud building were spotted off Kerala on Thursday, but not enough to precipitate the onset of the monsoon, which may have to wait, according to the IMD

North-West and adjoining Central India have become warm enough to establish the pressure gradient needed for the monsoon's advance. But an approaching western disturbance now threatens to disrupt the carefully aligning conditions for its timely and well-structured onset over the Kerala coast in the south.

Once sufficiently heated, the land opens up a broad pressure gradient (higher pressure over the seas and lower across the subcontinent) creating a natural corridor for the monsoon to sweep into Kerala and advance steadily toward the north and east. The incoming disturbance threatens to block the formation of this crucial channel.

It is a chicken-and-egg situation. Had the monsoon arrived on schedule with its full sweep of westerly and south-westerly winds, the disturbance would scarcely have found room to plunge so far south. Instead, numerical weather charts from the India Meteorological Department (IMD) suggest it could venture down by June 1 to the south-west Bay of Bengal and even parts of Sri Lanka, unusually deep for this time of the year.

CONTRARIAN WINDS

This appears to suggest that if it was the seas that seemed reluctant to support the monsoon's onset, now the atmosphere over land may also be turning resistant.

Western disturbances bring a pronounced north-westerly wind component — exactly the kind of flow that disrupts the monsoon, whose strength relies on warm, moisture-laden westerly and south-westerly winds surging in from the seas.

RELIEF FROM HEAT

The IMD on Thursday morning located the disturbance as a cyclonic circulation over north Pakistan.

It is expected to drift gradually into North-West India before spreading eastward and southward, encountering little resistance in the absence of an established monsoon current.

Associated cooler north-westerly winds may, however, bring relief from the oppressive heat that pushed temperatures to 48.2°C on Wednesday at Sriganganagar in Rajasthan.

Thunderstorms, lightning and gusty winds are forecast across many parts of North-West, Central and East India during the next few days.

PACIFIC TYPHOON

Another shift in the evolving weather is that an anticipated low-pressure area over Bay of Bengal may now fail to materialise.

Instead, the south-westerly flows from the Arabian Sea, routed through the Bay, appear set to veer into the western Pacific off the Philippines, where they are likely to feed the brewing typhoon *Jangmi*.

Global temperatures may remain near record high until 2030

Srikrishnan PC
Chennai

The global mean near-surface temperatures are estimated to be 1.3°C–1.9°C higher during 2026–2030 than during 1850–1900. A year between 2026 and 2030 will be warmer than 2024

Global temperatures are expected to remain at or near record highs over the next five years, with the Arctic warming faster than the global average, says a World Meteorological Organization report, produced by the UK's Met Office. There is a high probability of temporary breaches of the 1.5°C threshold, along with increasing chances of El Niño conditions by 2027, states the report, *Global Annual-to-Decadal Update*.

It takes into account the climate of the last five years and gives regional projections for temperature and precipitation for the next five years.

CLIMATE DRIVER

"The five-year predicted average temperature in the central tropical Pacific (Nino 3.4 region) leans towards El Nino conditions, especially in 2027 and 2028," states the report. There is an El Niño predicted for the end of 2026, which increases the chances of the following year, 2027, being the next record-breaking year," said Leon Hermanson, the lead author of the report.

WARMING TREND

The global mean near-surface temperatures are estimated to be 1.3°C–1.9°C higher during 2026–2030 than during 1850–1900.

The update indicates a high likelihood (86 per cent chance) that a year between 2026 and 2030 will be warmer than 2024 — the warmest year on record.

There is a 91 per cent probability that the global mean near-surface temperature will temporarily exceed 1.5°C above the 1850-1900 average levels for at least one year between 2026 and 2030. This level was also temporarily exceeded in 2024, when the global average surface temperature was approximately 1.55 °C above the pre-industrial baseline.

TEMPERATURE

There is a 75 per cent chance that the five-year mean for 2026-2030 will exceed 1.5°C above the 1850-1900 average. There is less than a 1 per cent chance that any one year in the next five will exceed 2°C above the 1850-1900 average.

CLIMATE TARGETS

The 1.5°C (and 2.0°C) levels mentioned in the Paris Agreement refer to long-term warming over a long period of time, usually evaluated over 20 years.

While individual years with annual global mean temperatures above these levels do not mean the long-term temperature goals of the Paris Agreement are not achievable, temporary exceedances are expected to become common as the underlying rise in global temperature approaches these levels, the report said.

German firm HAS to invest in nano-agri solutions for Indian farmers

Our Bureau
Mangaluru

Germany-based Dr Heinisch Agro Solutions India Pvt Ltd (HAS) and B+H Solutions have introduced advanced metallic-based nanotechnology using silver and copper formulations designed to improve crop health, strengthen plant resilience, reduce excessive chemical dependency and support residue-free farming for Indian farmers.

HAS is the Indian subsidiary of Germany-based B+H Solutions GmbH.

The company plans to invest nearly €1 million in India in 2026 as part of its expansion strategy in the country's nano-agriculture sector. The investment decision follows recent regulatory progress under India's Fertilizer Control Order (FCO) framework for nano-based agricultural products.

WILL CUT PESTICIDE

Founded in 2008 and headquartered near Stuttgart, Germany, B+H Solutions GmbH has been working in sustainable agriculture through advanced German nanotechnology. The company has developed innovative nano-based agricultural solutions such as AgroArgentum, AgroCuprum, AgroFerrum and AgroCalcium.

A media statement said

the company's patented nanotechnology helps farmers reduce excessive pesticide and chemical usage while improving yield quality, root growth, shelf life and overall farm productivity. One of the key focuses of the company's technology is supporting residue-free and sustainable farming practices by helping farmers reduce unnecessary chemical load while improving overall crop health and produce quality.

HAS India is working with farmers across Karnataka, Rajasthan, Haryana and Himachal Pradesh through field demonstrations, awareness programmes, and crop trials. In Karnataka, farmers using the company's nano-based agricultural solutions have reported yield increases of up to 30 per cent in selected crops under controlled application conditions, the statement said.

Field demonstrations across crops, including tomato, chilli, black pepper, pomegranate and floriculture have shown positive results, such as improved plant health, stronger root systems, better nutrient utilisation, reduced crop stress, improved flowering and enhanced produce quality, it said.

FUTURE OF FARMING

Laura Heinisch, Managing Director and Chief Scientific Officer of B+H Solutions GmbH, Germany, said India is one of the world's most important agricultural economies, and the future of farming will depend on technologies that are both productive and sustainable.

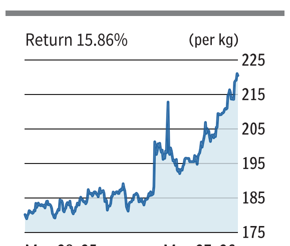
"Indian farmers are currently operating under challenging conditions driven by rising input costs, climate pressures, and global supply uncertainties. Our focus is to introduce German nanotechnology solutions that can help improve crop performance, reduce unnecessary chemical dependency, and support long-term agricultural sustainability," she said.

Rajni Rana, Managing Director of HAS, said the company's vision goes beyond business expansion and is focused on farmer empowerment through awareness, innovation and access to advanced agricultural technologies.

Buy June lead futures at ₹207

Akhil Nallamuthu
bl. research bureau

Lead May futures are trading at ₹204.15/kg and lead June futures are hovering around ₹207/kg. Since the May contract is expiring on May 29 (Friday), we shall consider the June series for analysis.



COMMODITY CALL.

June futures retain the positive outlook. Key support levels are at ₹204 (its 21-day moving average) and ₹202. So long as these levels hold, the outlook will be positive. The contract is likely to extend the uptrend to ₹212, a potential resistance. A breakout of ₹212 could lift it further to ₹215. However, if there is a decline which drags lead futures below the support at ₹202, the outlook could turn bearish. In this case, the contract could extend the decline to ₹198. Support below this level is at ₹196. Overall, the outlook remains positive at the moment, and we expect futures (June) to hit ₹212 in the near-term. So, traders can retain the longs.

TRADE STRATEGY

We suggested buying futures (May) at ₹203. Roll over the long to June series. That is, exit May futures at ₹204.15 and buy June futures at the current market price of ₹207. Target and stop-loss can be ₹212 and ₹202, respectively.

China allows fresh urea exports amid Iran war-fuelled fertilizer crisis

Reuters
Beijing

China has issued export quotas for urea fertilizer, sources with direct knowledge of the matter said, a move that could help ease soaring global prices for one of the world's most widely used crop nutrients after supply disruptions linked to the Iran war. One of the world's largest fertilizer exporters, China banned exports of many categories in March to protect domestic farmers from the surge in prices triggered by the closure of the Strait of Hormuz, through which a large share of global fertilizers and their inputs normally flow.

Urea exports are managed by a quota system and the issuance of quotas is a signal

authorities are confident there is enough supply domestically to release some for export.

NOTIFICATION

Two Chinese urea producers confirmed to *Reuters* that they had received export quotas but declined to provide further details. An Indian importer also said the Chinese government had issued a notification permitting urea exports, though no specifics were disclosed. China's General Administration of Customs and National Development and Reform Commission did not immediately respond to requests for comment. Domestic urea prices in China remain well below international levels and new export quotas are likely to be welcomed in particular by India, which imported more than 40 per cent of its urea, a nitrogen-based fertilizer, and di-ammonium phosphate, a widely used phosphate-based one, from West Asia last year. In March, India asked China to allow the sale of some urea cargoes as the US-Israeli war on Iran disrupted gas supplies and threatened fertilizer production, *Bloomberg News* reported.

Rajasthan govt, Wadhwani AI in pact to deploy AI solutions in agri ecosystem

Our Bureau
Mangaluru

The Rajasthan government and Wadhwani AI (LEHS AI Unit) have signed a memorandum of understanding (MoU) to collaborate on the deployment and integration of artificial intelligence (AI)-driven solutions across the State's agriculture ecosystem.

Under the partnership, Wadhwani AI will serve as a technical partner to the State, supporting the deployment, integration and implementation of AI-driven tools aligned with Rajasthan's agricultural priorities and digital transformation initiatives.

A media statement said the partnership aims to support Rajasthan's ongoing efforts towards improving farmer access to timely advisories, strengthening field-level intelligence systems, enhancing agricultural data visibility and enabling more responsive agriculture delivery mechanisms through AI solutions designed for Indian conditions.


Wadhwani AI will serve as a technical partner to the State
SHIV KUMAR PUSHPAKAR

POTENTIAL

Rajasthan offers significant potential for scalable AI deployment across crop advisory, pest and disease surveillance, farm-level digitisation, agricultural intelligence, and quality assessment, it said.

The State also has a strong animal husbandry sector, complemented by substantial opportunities in agroforestry, enabling integrated and climate-resilient rural development interventions.

The solutions to be deployed in the state include AgriVaani, CropAce, Soybean Grain Analyzer (SGA), and News Monitoring in Agriculture (NMA).

ADM, TechnoServe sign MoU to advance regenerative farming in Maharashtra

Our Bureau
Mangaluru

ADM, an agricultural supply chain manager and processor, has announced a partnership with international non-profit TechnoServe to advance regenerative agriculture adoption among 15,000 new soyabean farmers in Maharashtra, as part of its 'Farm Forward Initiative'.

This initiative is ADM's global platform dedicated to building farmer resilience and advancing sustainable agricultural practices.

Funded by a $5,00,000 investment from ADM Cares, the company's corporate social investment programme, the 18-month local initiative will be rolled out in Latur, Dharashiv, Beed and Nanded districts of Maharashtra.

The programme will focus on improving soil health, capacitating farmer producer organisations (FPOs) into focal points of support on regenerative agriculture best

FOR AGRI. Krishnan Hariharan, Senior Practice Lead, TechnoServe (left) and Amrendra Mishra, MD and Country Manager, ADM India, exchanging documents

practices.

It will also expand access to digital advisory tools and government support that enable improved climate resilience and livelihoods.

TIE-UP DETAILS

A media statement said that the partnership was formalised through the signing of a memorandum of understanding (MoU), with the programme set to kick off in May 2026.

The programme will begin with a detailed scoping phase to assess soil health and water conditions, leveraging existing government-led technology solutions. These assessments will provide farmers with tailored agronomic recommendations.

Building on this foundation, approximately 200 demonstration plots will be established across programme villages over two cropping seasons.

Through these plots, farmers will be able to observe and adopt practices that improve soil health, water conservation and long-term productivity.

P Jawahar takes charge as MPEDA Chairman

Our Bureau
Kochi

P Jawahar has assumed charge as the Chairman of the Marine Products Export Development Authority (MPEDA).

An officer of the Indian Administrative Service, Jawahar brings extensive administrative experience spanning multiple sectors, including industries, commerce, education, elections administration, sustainable development and public governance.

Before taking charge as Chairman, MPEDA, he served as Chief Electoral Officer and Commissioner/Secretary to the Government of Puducherry.

He has a multidisciplinary academic background in agriculture, environmental science and urban development, which is expected to bring valuable perspectives to the sustainable and responsible development of India's seafood sector.


P Jawahar, Chairman, MPEDA

His expertise is anticipated to further strengthen initiatives related to sustainable fisheries and aquaculture, infrastructure development, value addition, export competitiveness, innovation and global market expansion for Indian seafood products.

MPEDA looks forward to accelerating efforts towards enhancing India's position in the global seafood trade while ensuring sustainability, quality assurance, traceability, and livelihood support for stakeholders across the fisheries and aquaculture value chain, a press release said.

Nectar, IHA to give a facelift to North-East's honey, beekeeping sector

Our Bureau
Chennai

The North-East Centre for Technology Application and Reach (Nectar) has signed a five-year memorandum of understanding (MoU) with the India Honey Alliance (IHA) to strengthen and transform the honey and beekeeping sector in the North-eastern region.

A statement from the IHA said the MoU is a significant step towards building a more resilient, sustainable, and market-ready honey ecosystem in North-East India. It will create long-term value for beekeepers, farmers and the broader rural economy.

The partnership aims to build an integrated and sustainable framework for apiculture development by combining Nectar's institutional outreach, scientific capabilities, and technical expertise with IHA's industry knowledge and policy advocacy experience.

The two organisations will aim to create sustainable livelihoods, improve farmer incomes, promote environmentally responsible agricultural practices and position North-East India as a premium and traceable honey-producing region in domestic and international markets.

KEY AREAS

Nectar and IHA will collaborate in capacity building and skill development for beekeepers, development of technical support systems for North-East honey, biodiversity conservation through beekeeping and market alignment with domestic and export industries.

They will coordinate on pilot project execution and the creation of beekeeping clusters to improve aggregation, efficiency, and market access. The collaboration will also focus on training programmes, cluster formation, development of value-added honey products and the creation of a robust sector database to strengthen traceability and support long-term growth.

Arun Kumar Sarma, Director General, Nectar, said, "The North-Eastern region holds immense untapped potential in the beekeeping and honey sector. Through this collaboration with the India Honey Alliance, we aim to promote scientific beekeeping practices, strengthen local capacities, and create a more structured ecosystem that can deliver long-term benefits for farmers, beekeepers, and the broader rural economy."

QUICKLY.

TCS becomes Mistral's first GSI partner

Mumbai: Tata Consultancy Services (TCS) will be partnering with Mistral AI company to become the first global systems integrator partner for the advanced system Mistral Forge to build frontier grade AI models for enterprises. TCS will leverage Mistral Forge to build custom AI models for enterprises for better decision outcomes. OUR BUREAU

V-Green, ChargeZone in EV-charging infra pact

New Delhi: Vietnam-based Vingroup's EV charging arm V-Green announced it has entered into a strategic partnership with ChargeZone to jointly develop dedicated EV charging infrastructure for VinFast customers across India. The co-branded EV charging network will support VinFast's India expansion. The first 15 charging stations under this collaboration have already been commissioned and made operational. As part of the next phase of expansion, nearly 100 additional co-branded charging stations are planned for deployment. PTI

Govt ready to face El Nino threat amid elusive monsoon, says Agri Minister

AGAINST ALL ODDS. The Centre has ensured availability of ample seeds to facilitate alternative cropping

Our Bureau
New Delhi

The government is shoring up contingency plans to insulate the upcoming Kharif season from potential El Niño disruptions.

Dismissing panic over weather uncertainties, Agriculture Minister Shivraj Singh Chouhan said on Thursday, "No need to fear, rather preparations have to be in place."

Singh's statement comes as the IMD's final assessment is still awaited. The Ministry has already ensured the availability of sufficient seed stocks to facilitate alternative cropping if conditions deteriorate.

Inaugurating the two-day National Kharif Conference in New Delhi on Thursday, Chouhan called for integrated farming and greater self-reliance via pulses and oilseeds.

"Contingency plans will be made for affected districts and crop changes will be considered wherever necessary," Chouhan told media on the sidelines of the event.

The Agriculture Ministry is in the process of identifying districts for alternative crops and ensuring seed availability in the event of an El Nino impact, he said.

MINISTER'S DIRECTIVE

The Minister also directed officials to ensure timely seed distribution ahead of the monsoon, expand kisan credit card coverage, expedite farmer ID issuance, and take strict action against those selling spurious seeds, fertilizers and pesticides.

According to the IMD's first stage forecast in April, India will have "below-normal" monsoon rainfall in the June-September season this year, and quantitatively 92 per cent of the long period average (1971-2020) of 87 cm. The weather bureau is expected to release its

PREPARING ROADMAP. Shivraj Singh Chouhan, Union Minister of Agriculture and Farmers Welfare ANI

second stage forecast this week, detailing the monthly geographical distribution of rainfall.

Amid a forecast of a super El Nino, a drought-bearing weather phenomenon in the tropical Pacific Ocean this year, according to most global models, deficient rain is feared during the four-month South-West monsoon, which contributes 75 per cent to India's annual normal rainfall of 116 cm. Sowing of kharif crops begin at different phases in the States depending on the agro climatic zones as well as the crops and varieties selected by farmers. While sugarcane sowing is nearly complete, cotton planting in the north-west region is also over.

Highlighting that India had a record foodgrain production of 376.56 million tonnes (mt) in 2025-26 crop year (July-June), Chouhan credited farmers, government policies and agriculture scientists for the achievement as a result of which the country has surplus food. He said ensuring the country's food security, improving farmers' livelihoods and providing nutritious diets to the citizens are the Centre's top priorities, even as agriculture is a State subject.

He also asserted that it is imperative to seriously deliberate upon the challenges faced by the States and to devise effective solutions to address them. He said the government is considering holding these consultation meetings in each of the eight agro-climatic zones, as categorised by ICAR.

He said farming conditions are undergoing rapid changes due to shifting weather patterns and erratic rainfall. Temperatures are consistently rising; often, there are instances of torrential downpours followed by prolonged dry spells.

Chouhan expressed his unhappiness over the absence of some State Agriculture Ministers at the meet.

Muthoot Exim aims to mobilise 3 tonnes of gold in 2 years for recyling

Suresh P Iyengar
Mumbai

Keyur Shah, CEO, Muthoot Exim

Muthoot Exim aims to attract 3 tonnes of gold, worth ₹4,500 crore (as per current gold rates), for recycling over the next two years as it expands its outlets to 200 from 109 currently.

Muthoot Gold Point, the collection centre of the Muthoot Pappachan Group, collected 1 tonne of gold worth about ₹1,500 crore last fiscal for recycling, up from 600 kgs collected in FY'25.

Given the growing demand, the company targets to open an additional 50 outlets this fiscal, especially in smaller cities and collect about 2 tonnes of gold for recycling.

RECYCLED 5 TONNES

Keyur Shah, CEO, Muthoot Exim, said the transparency the point centre brings, including checking the purity of gold jewellery through an XRF machine, buyback price based on IBJA and MCX rates, and the declaration of a 3 per cent service charge upfront, has been the unique selling proposition.

While jewellers also buy back gold, they usually push consumers to buy new jewellery, and their rates also vary between jewellers. In fact, most consumers check buyback rates and enquire across jewellers, but ultimately settle with the Gold Point Centre because it is more profitable for them, he claimed.

Till now, Muthoot Gold Point has recycled nearly 5 tonnes of old gold from over 55,000 customers, with around 40 per cent of customers returning for repeat transactions.

The company sources gold directly from consumers, which is then refined and reintroduced into the domestic market as 24K pure gold that can be supplied to jewellery and coin manufacturers.

DUTY HIKE

The process will help reduce the need for new mining activities, while supporting the domestic gold supply chain and promoting responsible gold consumption, he said.

Early this month, the government doubled the customs duty on gold to 10 per cent and raised the agriculture, infrastructure and development cess to 5 per cent from one per cent. This led to an increase in overall gold import duty to 15 per cent, a level that prevailed in 2022.

Further, Prime Minister Narendra Modi nudged consumers to avoid gold purchases for a year to preserve the foreign exchange reserves of the country. The current account deficit is already strained by hefty oil imports amid sharp rupee depreciation.

India consumes 700-800 tonnes of gold annually, and over 90 per cent of it is imported.

Gold imports into the country increased 58 per cent in the March quarter to 186 tonnes, according to the World Gold Council data.

Imports averaged 83 tonnes in the first two months this year, well above the monthly average of 53 tonnes in 2025.

Sri Narasu's Coffee eyes ₹1,000 crore revenue in next 5 years

Sindhu Hariharan
Salem

Sri Narasu's Coffee Company, an iconic South Indian coffee brand with a 100-year legacy, is eyeing ₹1,000 crore in revenue over the next 5 years.

The company's revenue is at ₹641 crore as of FY26, and is expected to grow at 18-20 per cent in the current fiscal.

Narasu's is also charting its entry into Karnataka, Andhra Pradesh and Kerala with store launches in Bengaluru and Amaravati as part of its plans for FY27.

The expansion follows its strong presence in Tamil Nadu with 81 company-owned stores and 180 stock keeping units (SKUs), including a range of products in coffee, tea and other food products.

BREWING MONEY

Approximately 50 per cent of the revenue comes from exports across 45 countries, including the US, Europe, the UAE, Singapore and others. The 100-year-old privately held company is reinventing itself by sharpening its focus on the online channel and the convenience-driven instant coffee category. It has a separate

SPREADING AROMA. (left) Srudheep S, Managing Director, Sri Narasu's Coffee, with P Sivanantham, Chairman

plant of around 8,000 tonnes annual capacity for instant coffee variants in Salem, separate from its roasted and ground coffee plant.

"We are seeing the coffee drinking culture increase in Kerala, Karnataka and Andhra Pradesh, which are the next big markets after Tamil Nadu, and we are well placed to acquire a significant market share in these regions," Srudheep S, Managing Director, Sri Narasu's Coffee, told *businessline*.

STORE EXPANSION

Currently, it has one store in Bengaluru, and the Amaravati store is set to open in the next 2-3 months.

Each store will host the full range of Narasu's products, including their premium coffee blend, instant coffee and freeze-dried variants.

The company also plans to enhance its existing distribution of 42 distributors to 150 by the fiscal year-end.

P Sivanantham, Chairman, Salem-based Sri Narasu's Coffee, said that the company's journey has been built on the pillars of "ethics, reliability, and integrity values" and their focus remains on future growth without compromising on these standards.

Narasu's products are available at retail stores and in D-Mart, Lulu and Reliance, along with e-commerce and quick-commerce platforms such as Amazon, Flipkart and Blinkit. They focus on a 24-hour window from farm to shelf.

The writer was in Salem at the company's invitation

'Raw material cost spike to be absorbed by govt subsidy amid W. Asia conflict'

Avinash Nair
Ahmedabad

State-run Gujarat State Fertilizers & Chemicals Ltd (GSFC) said fertilizer raw material prices have surged due to the US-Iran conflict in West Asia, but government subsidy support is expected to fully absorb the cost impact and protect margins in key products such as urea and di-ammonium phosphate (DAP).

"The fertilizer segment heads into the first quarter of FY27 with raw material markets still unsettled. Geopolitical pressures in West Asia continue to drive input cost volatility," SK Bajpai, Chief Financial Officer, GSFC, said during the company's Q4 FY26 earnings conference earlier this week.

However, the company maintained that profitability in core fertilizer products remains insulated because of government support measures. "For DAP and urea, there is no margin difference because it is fully protected by the Government of India," Bajpai said.

ADDITIONAL COST

"Whatever additional gas cost or production cost we are incurring in the DAP manufacturing, it is [being] reimbursed by the Centre by way of special package," he added. The management said prices of critical inputs such as ammonia, sulphur and sulphuric acid have increased sharply amid geopolitical disruptions and supply uncertainty. "It is a difficult situation for the company as well as for the country," Bajpai said.

"GSFC said it remains relatively insulated from immediate supply disruptions because of captive ammonia and sulphuric acid production facilities at its Fertilizernagar complex. Fortunately, we are having the ammonia plant and sulphuric acid plant in our Fertilizernagar complex," Bajpai

said. "So, we are getting ammonia through natural gas, whose prices have not increased much. It is controlled by the Centre," he added.

The company also indicated that it has sufficient inventory to sustain operations through the current quarter. "We have around 16,000 tonnes of stock at our Baroda complex."

"Our sulphuric acid inventory is also up to full level," he added.

According to the management, sulphur prices in the international market have surged. "Sulphur prices are presently at $850/tonne in the international market," Bajpai said.

DOMESTIC CONTRACTS

GSFC said it continues to source sulphur through long-term domestic contracts while simultaneously exploring imports to maintain production continuity.

"Whatever sulphur we are having as per the long-term contract from Reliance, Nayara, BPCL and IOCL, we are getting the sulphur," Bajpai said.

"However, it is also to say that we are not getting 100 per cent supply and it is a very high rate. So we are also trying to import sulphur from the international market at a competitive rate," he added.

The company said there is "no problem for quarter one" from a production continuity perspective. "Immediately there is no problem for the quarter one that we will be having any short of sulphuric acid," Bajpai said.

Gujarat Pipavav Port Q4 profit up 27%

Our Bureau
Ahmedabad

Gujarat Pipavav Port Ltd, which operates a port in Amreli district of Gujarat, reported a 27 per cent jump in consolidated net profit for the fourth quarter of FY26, aided by a sharp surge in automobile cargo movement and higher operating revenue, even as container traffic remained subdued.

The port operator posted a consolidated net profit of ₹142 crore for the January-March quarter, while revenue from operations rose 26 per cent year-on-year to ₹317 crore.

For the full year FY26, the company reported a 30 per cent rise in consolidated net profit at ₹515 crore, with revenue from operations increasing 17 per cent to ₹1,158 crore.

The RoRo (roll-on/roll-off) segment emerged as the biggest growth engine for the port during the year, reflecting strong automobile exports and domestic vehicle movement.

RoRo cargo volumes jumped nearly 40 per cent year over year to 67,000 units in the fourth quarter. For the full year, Gujarat Pipavav Port handled 2.29 lakh RoRo units, marking a 40 per cent increase over FY25.

CHENNAI
businessline.
FRIDAY - MAY 29 - 2026

H-1B returnees face cautious tech job market in India amid AI-led shift

EMPLOYMENT CHALLENGE. The current hiring environment may not be suitable for large-scale absorption: Experts

Sindhu Hariharan
Chennai

Every time the US and its immigration authorities tighten visa procedures and apprehension sets in among the scores of techies on H-1B and other employment visas, there are calls for them to return to India and find opportunities in the growing economy.

However, tech executives and HR specialists caution that H-1B returnees face a cautious Indian tech job market amid an AI-led shift.

IT SERVICES ROLES

Even as the number of Indian tech professionals returning from the US is rising, India's current hiring environment may not be ideal for largescale absorption of H-1B talent, especially in traditional IT services and products roles, they said.

DEMAND DIP. Data show that the Indian tech sector's active talent demand is currently on a downward slope

Kamal Karanth, Co-founder, Xpheno, a specialist staffing firm, said that considering the current dynamics and trends of active demand in the Indian job market, it is definitely not the best of times for US-settled H-1B talent to return.

HIRING BUOYANCY

"After the hiring buoyancy of 2021, the Indian tech sector has not had a period of stability extending beyond a quarter. The sector continues to be periodically hit by global events and occurrences in key client markets, and this is reflected in the trajectory of hiring action in the sector," he said.

Xpheno's data show that Indian tech sector's active talent demand is currently on downward slope, with May's talent action being lower compared to the previous month.

Raja Lahiri, Partner and Technology Industry Leader, Grant Thornton Bharat, said there is indeed a challenge in demand in traditional tech services talent, given the macroeconomic headwinds as well as GenAI tools and tech introduced this year.

RIGHT JOB

"However, there is a massive opportunity for AI skills, and the demand is only going to increase, so there will be lots of job opportunities. Therefore, depending on the skills they possess, NRIs may find appropriate job opportunities in India if they wish to return," he said.

GROWTH OPPORTUNITY

Pankaj Bansal, Co-founder, PeopleStrong, said that returnees now have front-row seats to India's growth opportunity and must capitalise on that. He said GCCs will be the real game changers for the returnees and hold a lot of the jobs that suit their AI skill sets.

"We are also the third largest start-up ecosystem today and they can also either start ventures or join them," he adds.

However, he does acknowledge the very small pool of risk capital in India.

Xpheno's data also showed that the scale of tech talent moving between India and the US has been changing over the last three years.

While two-way movement (both India to the US, and from the US to India) continues, there has been a rise in count of returnees over the years. As per Xpheno's research, 7,200 tech talent returned from the US to India, 9,800 in 2024, 15,100 in 2025, and in 2026 (YTD) this is already at 7,300. Further, the delta between the scale of tech talent moving out of India and moving back to India has also been significantly narrowing, data show.

The friction thus seems to also be due to the steep package gaps.

Bergner plans expansion in premium kitchenware

Amit Vijay Mohile
Mumbai

Umesh Gupta, MD

Bergner India is betting big on the premiumisation of India's ₹16,000 crore cookware market as consumers increasingly shift from unbranded kitchen products to organised, health-focused brands.

The company, which has roped in celebrity chef Vikas Khanna as brand ambassador, is in advanced talks with private equity investors to raise growth capital for its next expansion phase, including plans to build up to 500 Bergner Galleries across India.

The company, the Indian arm of the Spain-headquartered Bergner Group, is expanding aggressively in tri-ply stainless steel cookware, pressure cookers, ceramic-coated cookware and cast-iron products, while pushing deeper into tier-2 and tier-3 markets.

By the end of FY26, Bergner had established 40 Bergner Galleries across general trade stores in India, alongside a shop-in-shop presence in Reliance Smart Bazaar.

REVENUE RISE

Bergner's revenue rose 27 per cent to ₹255 crore in FY25 from ₹200 crore in FY24. The company is estimated to have crossed ₹340-350 crore in FY26, extending its multi-year growth trajectory. Managing Director Umesh Gupta told *businessline* that Bergner had recorded a 33 per cent compound annual growth rate over the past three years, significantly ahead of the broader cookware industry.

Unlike consumer brands that rely on discount-led growth, Gupta said Bergner's expansion was driven by higher-value categories such as tri-ply cookware, toxin-free ceramic coatings and enamelled cast-iron products.

The company is now targeting revenue of more than ₹400 crore by FY27 through expansion into small domestic appliances, storage solutions, bakeware, vacuum flasks and premium dinnerware, alongside India-focused launches such as the Vikas Khanna-endorsed Argent Samsara range and the Excalibur enamel cast-iron collection.

Industry executives said India's cookware market is undergoing a structural transition as urban consumers increasingly move away from traditional aluminium cookware towards tri-ply stainless steel and ceramic-coated alternatives.

Gupta said growing consumer awareness around safer and more durable cookware materials have accelerated this shift, particularly among urban households.

Rainbow Children's Medicare aims to double revenue by FY30

bl.interview

G Naga Sridhar
Hyderabad

Hyderabad-based Rainbow Children's Medicare, led by Founder-Chairman Ramesh Kancharla, has grown steadily in recent years, supported by a distinctive doctor engagement model in which physicians work full-time on retainer within dedicated teams providing round-the-clock care, especially critical in paediatric medicare.

In FY26, the company reported a 12.4 per cent rise in revenue to ₹1,703 crore and a 15.3 per cent increase in net profit to ₹281 crore.

With its current capacity expansion cycle largely complete, the focus has now shifted to execution — driving clinical excellence, improving occupancies, strengthening service standards and building sustainable growth across its hospital network. Kancharla speaks about the business and industry trends. *Edited excerpts:*

Rainbow has been on an expansion mode, of late. How has the capacity addition been in FY26?

We had a couple of rough quarters earlier, but this year has addressed many concerns. We added nearly 500 beds in FY26, the highest in our history. Traditionally, we looked at adding around 300 beds annually, but acquisitions changed the scale. The acquisitions in Guwahati and Warangal have done very well. Rajahmundry has also exceeded expectations because Rainbow already had strong brand recognition in the Godavari districts. Now our total beds are 2,500.

What was the investment in these acquisitions?

The Guwahati acquisition involved a 76 per cent stake with a transaction value of about ₹230 crore. In Warangal, we invested around ₹35-36 crore for a 76 per cent stake. Both acquisitions have integrated well.

What will be the company's priorities in FY27?

> In FY27, we will focus more on strengthening operations rather than on aggressive expansion
>
> **RAMESH KANCHARLA**
> Founder-Chairman,
> Rainbow Children's Medicare

In FY27, we will focus on strengthening operations rather than on aggressive expansion. We now have a CEO, Abrar Ali, driving execution and strategy. My focus is on strengthening the clinical model and standardising care across hospitals. Whether it is Chennai, Bengaluru or Delhi, patients should experience the same systems, SOPs and quality standards. We are aggressively pushing protocolisation and standardisation of care. The second focus area is customer experience. We have created a separate vertical for this and brought in professionals from the hospitality sector to improve patient engagement. We are exploring some acquisition opportunities; they might not be of too big tickets. If they materialise, they may add around 100-150 beds. Otherwise, FY27 will not see major bed additions. A larger expansion pipeline is expected from FY28 onwards.

How do you see Rainbow's growth trajectory over the medium term?

Over the next three years, by FY30, we should be doubling our revenue and EBITDA from current levels. We are already strongly profitable and clock around 25 per cent EBITDA margins.

What is the company's financial position?

We currently have close to ₹700 crore cash on the balance sheet. At the end of last year, we had disclosed around ₹592 crore cash. Annual cash generation is roughly ₹250-300 crore. We have not taken loans over the last decade and, being a listed company, we have sufficient flexibility to raise funds if required.

How do you view the broader private healthcare sector in India?

India's private healthcare sector has progressed in terms of accessibility, quality and skill. In many cities, healthcare standards are comparable to developed countries. India has also rapidly expanded capabilities in complex procedures. The country now performs around 7,000-8,000 liver transplants annually, which reflects the depth of healthcare expertise available. District-level healthcare has also improved significantly over the years. Cities such as Warangal, Karimnagar, Vijayawada and Rajahmundry now have hospitals capable of handling many critical cases locally before referring highly complex patients to metro centres.

DS Group in deal to bring Ben's Cookies to India

Meenakshi Verma Ambwani
New Delhi

DS Group, known for brands such as Catch spices and Pulse candy, has inked a partnership with British brand Ben's Cookies, known for its freshly-baked products.

Under this agreement, the company will set up 8-10 stores in the country in this fiscal year. Ben's Cookies has been expanding in international markets and is known for its signature 'chunky and gooey' cookies.

Sanskriti Gupta, who is leading Ben's Cookies operations in India, told *businessline*, "The brand has a strong global heritage with a differentiated proposition and a focus on bakery-first retail format. The brand is also witnessing rapid growth in various markets, which led us to enter into this partnership to launch it in India."

INITIAL FOCUS

She added the company will initially focus on setting up outlets of the brand in Delhi-NCR and Mumbai.

"We expect to open 8-10 stores in this fiscal and we are aiming to open the first few stores within the next two months in these two cities," Gupta said.

"Every store will feature live oven baking with fresh batches throughout the day. In fact, the focus on quality is critical as the dough is imported and hence we need to maintain a seamless cold-chain infrastructure," she said, adding that the company will strategically focus on online channels to target impulse consumption occasions.

QUICKLY.

GMR Airports posts ₹400 crore profit in Q4

New Delhi: GMR Airports Ltd (GAL) posted a profit of ₹400.49 crore in the March quarter. It had incurred a loss of ₹252.66 crore in the year-ago period. In the fourth quarter of FY26, total income climbed to ₹4,042.90 crore (₹2,976.76 crore). For the year ended March 2026, the company posted a profit of ₹472 crore — the first time it has recorded full-year profit in more than a decade. PTI

Aussie Defence Minister to visit India next week

New Delhi: Australia's Defence Minister Richard Marles will visit India next week to hold talks with Rajnath Singh on expanding bilateral strategic cooperation. He will join Singh at the second India-Australia Defence Ministers' Dialogue. This meeting reflects unprecedented progress in the bilateral defence partnership and a shared ambition to enhance cooperation, an Australian readout said. PTI

A long wait ends for DKS as Siddaramaiah steps down

TRANSITION UNFOLDS. Shivakumar and outgoing Karnataka Chief Minister Siddaramaiah jointly announced that the latter had tendered his resignation

Our Bureau
Bengaluru

It was only a week ago that, when asked about a possible leadership transition, the then Deputy Chief Minister DK Shivakumar smiled and said, "Only time, and *muhurta* will tell." Finally, the *muhurta* seems to have smiled on him.

The meeting with the Congress high command on May 27 turned out to be the moment for which Shivakumar had long waited. By Thursday, Shivakumar and Karnataka Chief Minister Siddaramaiah jointly announced that the latter had tendered his resignation, ending months of speculation over Karnataka's closely watched power equation.

Earlier in the day, the two leaders shared breakfast and exchanged warm hugs, visuals crafted to signal a smooth handover rather than a bitter succession battle.

Born Doddalahalli Kempegowda Shivakumar on May 15, 1962, in Kanakapura to a well-to-do family, the Vokkaliga strongman first entered politics as a student activist in the 1980s. Though he lost his debut Assembly election to heavyweight HD Deve Gowda in 1985, Shivakumar bounced back quickly, registering the first of what would become eight consecutive Assembly victories at the age of 27 from the erstwhile Sathanur constituency.

THE GO-TO MAN

Known within Congress circles as *Kanakapura Bande*, the rock of Kanakapura, Shivakumar has long played the role of the party's troubleshooter and organisational strongman in Karnataka. From safeguarding Congress MLAs during political crises to stitching together alliances and navigating high-stakes negotiations, Shivakumar built a reputation as the man the party turned to in moments of instability.

Beyond the towering cut-outs, victory slogans and power negotiations, Karnataka's politics has often been shaped by deeply personal stories of faith, ambition, heartbreak and survival. For all their contrasting styles, both Shivakumar and Siddaramaiah built their careers on moments that revealed the men behind their political personas. And as the State witnesses another carefully negotiated transition, those anecdotes once again return to the spotlight.

For those close to Shivakumar, Friday's announcement was not just political timing; it was celestial timing. The incoming Chief Minister, known for his deep belief in astrology and religious rituals, is learnt to have sought three separate auspicious dates from astrologers before the transition was finalised. Among those he is known to trust is astrologer Dwarkanath, who has reportedly predicted for years that Shivakumar would one day occupy the Chief Minister's chair.

STRONG SIGNAL. DK Shivakumar (left) and Siddaramaiah shared breakfast and exchanged warm hugs, visuals crafted to signal a smooth handover rather than a bitter succession battle

Shivakumar's faith has long been intertwined with his politics. Before elections, he is known to take religious vows and even today, regular visits to Ajjayya temple remain part of his routine.

A YOUNG TURK

Long before he became Karnataka's tallest mass leader, Siddaramaiah's political journey began with defeat. In 1980, he unsuccessfully contested the Lok Sabha elections from Mysuru.

His first electoral victory came later as an independent candidate, before he joined Ramakrishna Hegde's "Young Turks" in the Janata Party. From there, Siddaramaiah steadily built a reputation as an administrator and strategist, eventually emerging as one of the state's most dominant political figures.

Siddaramaiah's career has also survived moments when many believed it was over.

The first came in 2005, when he was expelled from the Janata Dal (Secular). In 2006, contesting from Varuna, he turned the battle into a prestige fight against Deve Gowda's camp and emerged stronger.

The second scare came years later in Chamundeshwari, when a sitting Chief Minister suffered a shock of defeat to GT Deve Gowda. Anticipating trouble, Siddaramaiah had simultaneously contested from Badami, a move many saw as political insurance. He eventually won from Badami against BJP leader B Sriramulu and stayed politically afloat.

For Siddaramaiah, the wait for the top post nearly ended much earlier. In 2004, after the Assembly elections threw up a fractured verdict, Siddaramaiah was widely seen as a frontrunner for the Chief Minister's post.

But Deve Gowda was reportedly reluctant to back him, and the post eventually went to Dharam Singh. Many in Karnataka politics still see that episode as the moment the Siddaramaiah-Deve Gowda relationship irreversibly soured.

LOK BHAVAN

Even the Governor's office found itself under political scrutiny during the transition.

Governor Thaawarchand Gehlot's sudden absence from Bengaluru due to a relative's illness triggered murmurs in political circles, with some analysts questioning the timing amid intense leadership discussions. Though officially unrelated, the development added another layer of intrigue to Karnataka's already dramatic political weekend.

NHAI identifies 17 projects, totalling 1,693 km, for monetisation in FY27

Our Bureau
New Delhi

The National Highways Authority of India (NHAI) has come out with a tentative list of 17 projects with a combined length of 1,692.5 km for monetisation in FY27.

According to a statement issued by the Ministry of Road Transport and Highways, the National Highway stretches will be monetised under the toll-operate-transfer (TOT) and infrastructure investment trust (InvIT) modes.

However, the list does not include assets proposed to be monetised through Rajmarg Infra Investment Trust (RIIT) during the financial year. "The initiative is part of the Government of India's asset monetisation strategy focused on leveraging operational National Highway assets to mobilise capital for further infrastructure development, promote private sector participation and accelerate the expansion as well as modernisation of the National Highway network," the statement said.

As per the statement, the exercise is expected to enable investors and bidders to plan investments in a more efficient manner. The identified National Highway assets are spread across nine States, including Haryana, Jharkhand, Karnataka, Rajasthan, Tamil Nadu, Telangana, Uttar Pradesh, Bihar and Maharashtra.

INCOME POTENTIAL. The highway assets represent economic and logistics corridors with established traffic potential and robust connectivity significance

These highway assets collectively represent economic and logistics corridors with established traffic potential and robust connectivity significance.

PROVEN ROUTE

"The monetisation exercise will be undertaken through transparent and structured mechanisms under the TOT and InvIT frameworks, which have emerged as successful models for attracting long-term institutional investment towards further expanding National Highway infrastructure by adopting innovative financing mechanisms for sustainable infrastructure development while ensuring efficient asset management and operational excellence," the statement said.

In FY26, NHAI set a monetisation target of ₹30,000 crore through the TOT and InvIT routes as part of the Centre's broader asset recycling strategy for highway infrastructure.

Earlier, an official communique issued in March 2026 stated that NHAI had realised ₹28,307 crore through a combination of public InvIT, private InvIT and TOT models, including TOT Bundles 17 and 18, and "was well poised to meet the annual target".

In addition, the authority has increasingly relied on asset monetisation mechanisms to raise capital for the expansion and modernisation of the National Highway network while reducing the dependence on budgetary support.

FinMin to visit factories ahead of Budget planning

Press Trust of India
New Delhi

In a first, the Union Finance Ministry has launched a nationwide programme of field visits to manufacturing units and industrial clusters as the government seeks ground-level industry feedback to support economic policy-making and manage challenges arising from the West Asia crisis.

The initiative, led by the Department of Economic Affairs, will involve senior DEA officials visiting large, medium and small manufacturing units and externally-aided projects to assess operational and policy challenges.

According to an official communication, the visits aim to provide direct insights into infrastructure bottlenecks, regulatory hurdles, supply chain disruptions, access to finance, skilling gaps and technology adoption issues affecting businesses.

An email seeking comment did not receive any immediate response.

Under the programme guidelines, teams will be required to cover manufacturing, infrastructure, employment and research sectors, and engage with at least two start-ups during each visit.

UP starts e-bus services to Jewar airport, CM wants 'public transport in place' by June 15

Amit Vijay Mohile
Mumbai

Uttar Pradesh has begun rolling out electric buses for the upcoming Jewar International Airport, with the first 110 buses expected to connect it with metro stations, Noida, Greater Noida and key residential and commercial hubs ahead of the flight operations starting June 15.

Officials are also planning to scale the network to 500 electric buses across the Yamuna Expressway Industrial Development Authority (YEIDA) region, the industrial and infrastructure corridor surrounding the Jewar airport, signalling the start of a much larger Statewide electric public transport expansion that could eventually see 4,000-5,000 e-buses operating across Uttar Pradesh over the next few years.

While chairing the fourth meeting of the State Transformation Commission on Thursday, Chief Minister Yogi Adityanath said the public transport system around Jewar airport should be fully strengthened before the start of flight operations.

OVERSEEING CHANGE. UP CM Yogi Adityanath chairing the fourth meeting of the State Transformation Commission

3-LAYER EXPANSION

The expansion is unfolding across three layers. First is the existing municipal base. Under the earlier FAME-II allocations and State transport programmes, Uttar Pradesh deployed around 740 electric buses across cities.

Additional procurement over the last 18 months is estimated to have pushed the operational footprint beyond 1,200 buses.

Second is the Jewar-YEIDA expansion, where the airport-linked network is expected to integrate metro connectivity, airport transfers and industrial worker mobility. The third and potentially biggest growth driver is the Centre's PM-eBus Sewa scheme, which aims to deploy 10,000 electric buses nationally.

With one of the country's largest concentrations of cities with population above three lakh, Lucknow, Kanpur, Ghaziabad, Gorakhpur, Jhansi, Ayodhya and Firozabad have secured allocations under the scheme. Industry estimates suggest that Uttar Pradesh alone could receive between 2,500 and 3,000 additional e-buses through gross cost contract tenders that are currently under implementation.

EXPRESSWAYS & HUBS

Alongside the electric bus review, the Chief Minister directed faster land acquisition for multiple projects including the Agra-Lucknow-Purvanchal Link Expressway, the Jewar Link Expressway and the Jhansi Link Expressway.

The meeting also reviewed logistics hubs, defence corridor investments and an agri export hub planned near Jewar airport.

IAF partners with IIT-Bombay to develop 'health index' for Su-30 MKI engines

Dalip Singh
New Delhi

The Indian Air Force has signed three contracts with IIT-Bombay to develop a 'health index' for Su-30 MKI fighter aircraft engines undergoing midlife maintenance, which will bring down its service costs, increase their availability and life for operations.

IIT-Bombay is developing an 'AI digital twin' model to provide diagnostics and prognostics for the gas turbine engines of the IAF's mainstay Russian Su-30 MKI fighter jets.

This was shared by Professor Asim Tewari from IIT-Bombay's Centre for Machine Intelligence and Data Science (C-MInDS) and Mechanical Engineering Departments, in an exclusive interview with *businessline*.

The deals between IAF and IIT-Bombay were signed on Wednesday.

AI MODEL

"We will be using a 'physics-informed AI model', which means it will not just be AI but advanced engineering as well. Through that, we will be able to get personalised health parameters of every engine to know beforehand what can go wrong in an engine and accordingly provide solutions," Prof Tiwari, who is the principal investigator (PI) for the projects, said.

An AI digital twin is a highly advanced virtual replica of a physical object, system or process that uses AI to simulate, predict and optimise its real-world counterpart's performance. The IAF currently operates a fleet of about 260 Su-30 MKIs.

COST SAVING

"We have aggressive timelines with milestones that have to be achieved from less than a year to a couple of years for completing the three projects," he stated.

IIT-Bombay will develop an AI model for the Su-30 engine diagnostics

"It will have a huge impact on the IAF, as the engine maintenance turnaround will go down, leading to cost savings and longer availability of engines," the project PI elaborated.

The move is part of the overall motto of 'minimal human intervention, maximum combat potential', which is driving the IAF towards automation of certain levels of maintenance and overhaul of fighter jets and copters by using AI and robotics, *businessline* had earlier reported.

IDEAL TIME

On why the Su-30 MKI was shortlisted for the project, he stated that this was the best time since the fighter aircraft had already been in 20-plus years of operations, generating enough data for tech-based solutions for its maintenance and repair.

The IIT-Bombay is also working on a similar AI digital twin model for helicopters and radar systems, as these tools can be stretched to offer tailor-made automation solutions for military platforms.

It would help amplify inventory management to the next level and scale up the capacity utilisation of machines and weapons so that the armed force is ready 24x7 in case of a war.

India's first stratospheric super-pressure balloon launched

KV Kurmanath
Hyderabad

Red Balloon Aerospace has launched Mission Sana, the country's first private high-altitude super-pressure balloon carrying commercial payloads from seven national and international partners.

The company's Vista platform ascended to about 25 km above the Earth from the Indira Gandhi Stadium in Vijayawada.

The start-up is developing stratospheric platforms, tethered aerostats and stratospheric airship systems for near-space applications.

Red Balloon Aerospace's technology addresses a critical gap in spatial infrastructure.

While aircraft operate below 10 km and satellites orbit above 160 km, the stratosphere between 20 and 50 km has remained largely unused despite offering strategic advantages.

SKY BOUND. Red Balloon's Vista platform ascended to about 25 km above the Earth

IN EXCLUSIVE LEAGUE

The mission places India among five nations globally with indigenous stratospheric (hydrogen) balloon capability along with the United States, France, Japan and China.

"A single Vista mission can support multiple customers, multiple experiments, and multiple industries," added Sireesh Pallikonda, Co-founder and COO of Red Balloon Aerospace.

Unlike conventional near-space platforms that rise and descend within a few hours, Vista remains operational for weeks or even months, creating a persistent near-space platform at a fraction of the cost of satellite deployment.

"All payload missions were completed successfully, validating India's technical capability against international commercial standards," a company spokesperson said on Wednesday.

Mission Sana also created a platform for telecommunications, disaster monitoring, Earth observation and surveillance applications that traditional satellites and aircraft cannot provide cost-effectively and persistently.

"At that altitude, the Vista platform also functions as a tower in the sky, enabling non-terrestrial networks (NTN) connectivity and disaster management across regions that have historically lacked persistent, affordable coverage," CVS Kiran, Co-founder and CEO of Red Balloon, said.

Indian Army's Major Abhilasha Barak to receive prestigious UN Military Gender Advocate award

Our Bureau
New Delhi

The Indian Army's Major Abhilasha Barak, the first woman combat helicopter pilot, will receive the 'UN's 2025 Military Gender Advocate of the Year' on Friday, in recognition of her vital outreach work with women and girls during the ongoing peacekeeping assignment in Lebanon.

Currently deployed with the UN Interim Force in Lebanon (UNIFIL), Major Barak will receive the prestigious honour as part of the International Day of United Nations Peacekeepers on May 29, held annually to pay homage to the "Blue Helmets" who have made the ultimate sacrifice while serving in peacekeeping missions worldwide.

Major Abhilasha Barak
@INDIAUNNEWYORK

Major Barak will be the third recipient of the prestigious award from India, after Major Suman Gawani and Major Radhika Sen. She is serving with the Indian Battalion as the Commander of the Female Engagement Team (FET) in UNIFIL.

PRIDE OF INDIA

Major Gawani, who had served with the UN Mission in South Sudan, was honoured with the 2019 United Nations Military Gender Advocate of the Year Award. Major Sen, who served with MONUSCO, received the 2023 award.

It will be a proud day for India as two other Indian peacekeepers will be honoured posthumously for their ultimate sacrifice in the line of duty.

POSTHUMOUS AWARDS

UN Secretary-General António Guterres will posthumously bestow the prestigious Dag Hammarskjöld Medal upon Lance Havildar Harbhajan Singh and Naib Subedar Sujit Kumar Pradhan.

While Singh served with the UN Stabilisation Mission in the Democratic Republic of the Congo (MONUSCO), Pradhan was deployed with the UN Mission in South Sudan (UNMISS).

Guterres will also preside over a solemn ceremony at which the Dag Hammarskjöld Medal will be awarded posthumously to 68 military, police and civilian peacekeepers, who paid the ultimate price in the line of duty, including 59 who died last year.

CHENNAI
businessline.
FRIDAY - MAY 29 - 2026

Digi Yatra plans to expand digital identity platform beyond aviation

NEW PATH. It aims to serve as a secure verification layer for various sectors within digital public infrastructure

Rohit Vaid
New Delhi

Decentralised digital identity platform Digi Yatra is eyeing a bigger role beyond the aviation space as a reusable identity layer for secure verification and seamless access across multiple sectors over time.

The Digi Yatra Foundation, which operates the platform, is positioning Digi Yatra as part of India's wider digital public infrastructure (DPI) ecosystem.

Speaking to *businessline*, Suresh Khadakbhavi, Chief Executive Officer, Digi Yatra Foundation, said the platform demonstrates how trusted digital identity can be deployed at national scale in a voluntary, privacy-by-design and consent-based manner.

"By combining biometrics, verifiable credentials and open standards, Digi Yatra reflects core DPI principles of user control, interoperability, security and trust," Khadakbhavi told *businessline*.

"Over time, Digi Yatra can serve as a reusable building block for secure identity verification and seamless access across multiple sectors, helping advance India's vision of citizen-centric digital infrastructure."

PRIVACY PUSH. The platform demonstrates how trusted digital identity can be deployed at national scale

NON-AVIATION AVENUES

According to him, Digi Yatra has already begun exploring non-aviation applications.

Earlier this year, the Foundation completed its first largescale non-aviation deployment at the India AI Impact Summit 2026, marking Digi Yatra's expansion beyond the aviation sector.

Industry observers who spoke to *businessline* on the future usage of the platform said it has significant potential to evolve as a secure digital identity and interoperability layer for national-level examination centres, large public events and high-footfall venues requiring secure and seamless identity verification.

Besides its traditional role, the Foundation is also focusing on enabling contactless international travel using verifiable credentials and consent-based identity sharing between airlines and airports.

A key milestone in this direction, said Khadakbhavi, was the International Air Transport Association (IATA)-aligned contactless international travel proof of concept conducted with IndiGo and Kempegowda International Airport (Bengaluru).

"The IATA contactless travel proof of concept demonstrated how verifiable credentials and consent-based identity sharing can enable seamless travel across airlines and airports while preserving user control," he said.

"Going forward, such collaborations will help align Digi Yatra with global standards, support future international journeys, and position India as a contributor to interoperable and privacy-preserving digital identity ecosystems."

OPS EXPANSION

In FY27, the Foundation plans to focus on increasing airport coverage, improving passenger onboarding through multilingual support and deepening integration with airports, airlines and ecosystem partners.

At present, Digi Yatra is operational across 38 airports, with expansion underway to 42 airports as part of the Foundation's FY27 roadmap.

The platform has recorded more than 23 million app downloads and enabled over 99 million passenger journeys, reflecting rising adoption across India's aviation ecosystem. Additionally, the Foundation is preparing to introduce support for all 22 regional languages to improve accessibility for passengers across the country.

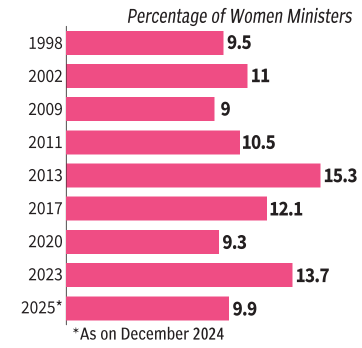
VISUALLY.

Compiled by **Anu Keerthana**, *intern* | Graphic: **Visveswaran V**

Gender parity in government services still a long way off

Women, accounting for nearly half of the population, hold only a fraction of India's administrative seats. The numbers suggest a story of progress with more women entering public institutions, but representation remains far from equal. The judiciary has relatively lower representation, with the Supreme Court of India having only one female judge. Data reveal lesser women entering into the Indian Army, the Navy and the police force

Merely 9.8% of women hold ministerial portfolios at the Centre

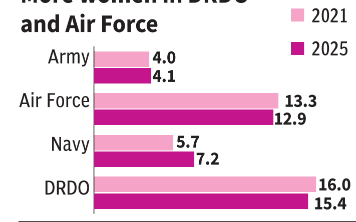


*As on December 2024

Overall, civil services has highest women representation

Average female strength in civil services	36%
IAS stands highest	41.1%
IFS in the least	27.6%

More women in DRDO and Air Force



Women represent merely 12% of the total police force

Total police strength	21,62,436
Female police strength	2,72,535
Percentage	12.6

HCs have higher female representation....

Sikkim	Punjab & Haryana	Telangana	Delhi	West Bengal
33.3	28.8	25.0	22.7	22.7

... but just 1 female SC judge out of the 33 permanent judges ...

Permanent & additional judges	Female judges	Percentage
33	1	3.03

... and only 11 SC judges have been women

Source: MoSPI

Shyam Srinivasan shares lessons from banking, cricket in new book

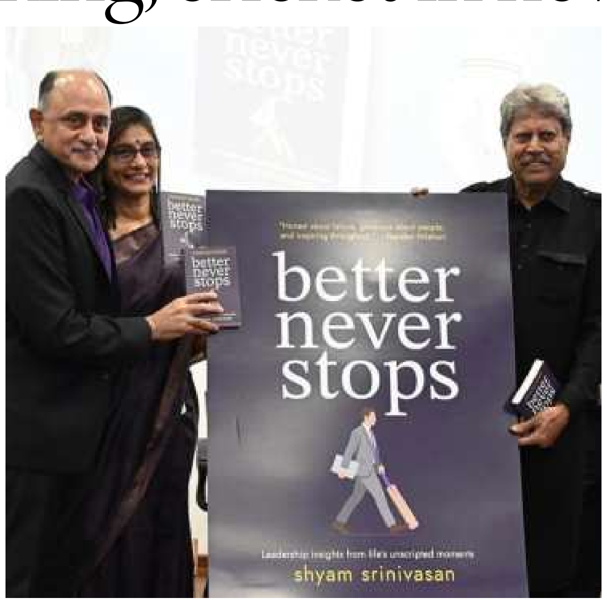
Our Bureau
Chennai

"Just show up and don't give up" is just not a mantra to inspire or motivate, but is the motto which drove veteran financial services executive Shyam Srinivasan through his leadership journey at major banks, including Standard Chartered, Federal Bank and Citi.

The former banker has captured these life and leadership lessons in his book *better never stops*, a part memoir and part leadership guide.

LEADERSHIP APPROACH

The book, launched at an event organised by the Madras Management Association here on Thursday, traces Srinivasan's journey, reflecting on the experiences and values that shaped his leadership approach over the years. Speaking at the event, Srinivasan emphasised on the need for persistence and consistency in achieving success.



DEFINING MOMENT. Author Shyam Srinivasan and his wife with Kapil Dev at the release of *better never stops* in Chennai on Thursday BIJOY GHOSH

Drawing from anecdotes of playing cricket as a young boy and the years he spent leading large banks, he highlighted how setbacks and difficult phases often become defining moments in leadership journeys.

STORY-TELLERS' ROLE

The event also saw the presence of 1983 Cricket World Cup winning captain Kapil Dev, who highlighted the importance of storytellers in bringing inspiring real-life experiences closer to the public.

The launch saw a panel discussion featuring business leaders Gopal Srinivasan, Chairman, TVS Capital Funds; TT Srinivasaraghavan, Director, Sundaram Finance; K Mahalingam, Partner, TS Mahalingam & Sons; and Mithun Sacheti, Founder of CaratLane, who shared perspectives on leadership and institution building.

Iran targets US air base after Trump refutes deal report

Reuters
Dubai/Washington

Iran targeted a US air base on Thursday after the United States struck what Washington described as an Iranian drone operation near the Strait of Hormuz and President Donald Trump rejected a reported compromise deal with Tehran.

A US official said the military shot down four Iranian attack drones and struck a ground control station in the port city of Bandar Abbas that was about to launch a fifth drone.

"These actions were measured, purely defensive and intended to maintain the ceasefire," said the official.

The Islamic Revolutionary Guard Corps (IRGC) said later that it had targeted the US base responsible for an early-morning attack near Bandar Abbas airport, *Tasnim* news agency reported.

DECISIVE RESPONSE

The IRGC, which did not name the base, said any repeat of what it called aggression would lead to a "more decisive" response. Kuwait — which hosts a large US base — said it was responding to drone attacks without saying where the attacks were coming from.

In Lebanon, which Iran says must be part of any overall agreement to end the war,Israel said it had begun striking infrastructure of Iran-backed Hezbollah militants in Tyre. The Lebanese army said an Israeli strike had killed one of its soldiers, while Israel, which has pushed deep into Lebanon in pursuit of Hezbollah, said hostile aircraft infiltration had triggered sirens in its north.

Oil prices rebounded, with US crude futures up around 2.5 per cent after falling 5 per cent on Wednesday.

Karan Dayanidhi Maran launches micro-drama platform KadhaiShorts

Our Bureau
Chennai

Karan Dayanidhi Maran, son of former Union Minister Dayanidhi Maran, has launched KadhaiShorts, a micro-drama platform.

The platform, part of the newly-established Maran Group, aims to bring vernacular stories packaged into snackable two-minute episodic content.

KadhaiShorts will have a lineup of *kutti* (mini) serials, a short-form vertical format reimagination of yesteryear television soaps. As part of the launch, the platform has introduced a pay-per-series pricing model, starting at ₹20.

While kicking off with Tamil content, the company plans to eventually launch shows across Telugu, Kannada, Hindi, Malayalam and Bengali by end of this financial year.

"We see micro-drama not as a passing trend, but as the next major entertainment format built for mobile-only consumption. With KadhaiShorts, we are not entering this space to participate. We are entering it to lead," Karan Dayanidhi Maran, Vice-Chairman of Maran Group and Founder of KadhaiShorts, said.

BRAND INTEGRATION

Maran added that, in addition to platform monetisation through user transactions, KadhaiShorts is also exploring storytelling-led brand integration models, in which brands become part of narrative environments rather than conventional advertising.

Sabarish Venkat, CEO, (left), and Karan Dayanidhi Maran, Founder, KadhaiShorts BIJOY GHOSH

While kicking off with Tamil content, the firm plans to launch shows across Telugu, Kannada, Hindi, Malayalam and Bengali

The company is also setting up KadhaiClub, a community designed to democratise access to opportunities in the mobile-only entertainment category. The initiative already has over 12,000 members and focuses on enabling aspiring writers, actors, editors, cinematographers, directors and creators to understand and participate in next-generation vertical entertainment formats.

KadhaiShorts's team also includes Sabarish Venkat as CEO, Fahd Abdur Rahman as Head of Marketing and Pradhessh Mugundhan as Creative Producer.

While KadhaiShorts is a novel offering in the Southern digital entertainment space, the micro-drama format is in high demand globally, and is increasingly so in India too.

Besides the start-ups in this space, entertainment giant Jio recently launched Tadka, a platform for micro-drama content.

Bengaluru airport 'second busiest in India'

Aneesh Phadnis
Mumbai

Bengaluru has overtaken Mumbai to become the second busiest airport for domestic passenger traffic, the Airport Authority of India's April data show.

While capacity expansion at Bengaluru airport has enabled it to add more flights, Mumbai lost its second rank in April with the shifting of traffic to the Navi Mumbai airport. The Mumbai airport had previously dropped behind Bengaluru during the Covid-19 period that saw sharp restrictions on travel.

On an overall basis, however, the Mumbai airport leads Bengaluru due to a

higher share of international traffic.

DOMESTIC TRAFFIC

Domestic passenger traffic at Mumbai airport fell 12.1 per cent in April on a year-on-year basis to 2.89 million. Domestic aircraft movements in Mumbai were 3.3 per cent lower in April over the same period last year.

Navi Mumbai airport, which began operations last December, has seen a 3x growth in domestic flights in the summer schedule. IndiGo tweaked its network, shifting some flights from Mumbai to Navi Mumbai. Destinations like Ayodhya, Agra, Hindon, Jabalpur and Tirupati, previously served from Mumbai, are now served from Navi Mumbai.

Last month, Navi Mumbai handled 5.24 lakh passengers, which was 2.3x growth over March. It is now the 10th busiest airport for domestic traffic. In April, Bengaluru airport handled 3.17 million domestic passengers, a slight decline of 0.2 per cent over the same period last year.

"The Covid-19 pandemic period was exceptional. If you exclude that, Bengaluru airport has beaten Mumbai in domestic traffic for the first time," said an industry analyst.

While the Mumbai airport suffers from capacity constraints, Bengaluru has seen expansion with the opening of a second runway in 2019 and a second terminal in 2022. In FY25 and FY26, the Bengaluru airport witnessed faster growth in domestic traffic than Delhi and Mumbai.

"Air India group and IndiGo have made Bengaluru their third hub. In fact, Bengaluru is IndiGo's second biggest hub after Delhi," the analyst added.

Congo national in Ahmedabad tests negative for Ebola

Our Bureau
Ahmedabad

The medical test reports of a businessman from Congo, who was suspected to have contracted the Ebola virus, have returned negative, Gujarat Health Minister Praful Pansheriya said on Thursday.

The businessman was admitted to the Ahmedabad Civil Hospital on Wednesday after the authorities suspected a possible Ebola infection. He was kept in isolation with three others, who had come in contact with him, as a precautionary measure.

Visakhapatnam's big leap from port city to AP's economic growth engine

G Naga Sridhar
Visakhapatnam

Once largely identified with its natural harbour, steel plant and naval presence, Visakhapatnam is now emerging as one of India's fastest-growing investment destinations, apart from being a growth engine for Andhra Pradesh.

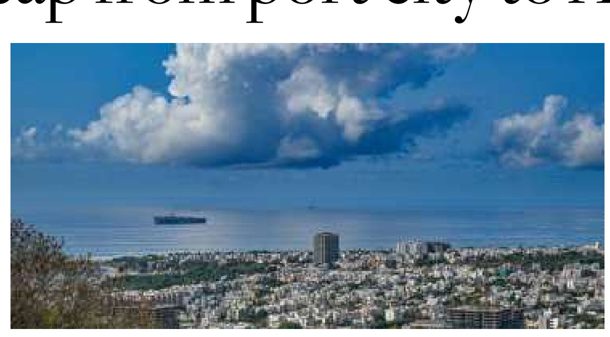
In the last two years, the city has witnessed unprecedented momentum across sectors, such as green energy, data centres, shipbuilding, logistics, tourism, information technology and advanced manufacturing.

Backed by proactive policies of the government of Andhra Pradesh, Visakhapatnam is steadily positioning itself as the State's economic capital.

While Andhra Pradesh has attracted over ₹23 lakh crore investment in the last two years, more than 40 per cent has gone to the Visakhapatnam Economic Region, as per the State Investment Promotion Board (SIPB) data.

POSITIVE SHIFT

"The numbers underline the positive shift in the growth of Visakhapatnam and the north coastal belt accounting for a sizeable share of projects. Major investments are flowing into renewable energy, pumped storage, port-led industries and electronics manufacturing," M Abhishikth Kishore, Visakhapatnam Collector, told *businessline*.


GATEWAY CITY. Home to one of the country's largest ports, Visakhapatnam also has strong rail, road and air connectivity

Per official data, Visakhapatnam is the first among the non-metros to have witnessed fast growth since 2024 in terms of investments and new projects.

Among major investments which have already been grounded include Google's $15 billion data centre project, ArcelorMittal & Nippon Steel Greenfield Steel Plant, ₹1 lakh crore Reliance Data Centre.

"Visakhapatnam has become a growth engine not only for the State but will eventually emerge as data centre capital of the world supported by green energy," Kishore said, adding the city's strategic advantage lies in its infrastructure ecosystem.

Home to one of the country's largest ports, the city also has strong rail, road and air connectivity. The proposed Bhogapuram international airport, expansion of the IT corridor, and new industrial nodes under the Visakhapatnam-Chennai Industrial Corridor are expected to further accelerate economic activity, MT Krishna Babu, Special Chief Secretary to Government, Investments and Infrastructure, Government of Andhra Pradesh, said.

Visakhapatnam is also emerging as a major hub for shipbuilding and maritime industries. Large-scale plans for shipbuilding clusters, naval infrastructure and ancillary manufacturing are creating a strong industrial ecosystem along the coast.

Public sector giant Hindustan Shipyard Limited continues to play a key role in anchoring the sector.

EXPANDING OPS

Several IT and fintech firms are expanding operations amid lower operating costs and improving urban infrastructure compared to larger metros. The government is also working on ramping up urban infrastructure to cope with possible rise in population which now stands at about 80 lakh.

"We are prioritising express roads to connect the city and the upcoming airport and the new industrial clusters. Most of the works, including those on beach roads and other radial roads, are already underway," Kishore said.

For locals, the earning opportunities are increasing. "Even though the present government retained Amaravati as capital, the focus on Visakhapatnam Economic Region is quite noticeable in the last two years," said G Satyam, who runs a travel agency in Visakhapatnam.